EMBARKING ON YOUR TRADING JOURNEY:

THE ULTIMATE BLUEPRINT

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Disclaimer

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Readers are advised to conduct their own research, seek advice from qualified financial professionals, and carefully assess the suitability of any trading or investment decisions based on their individual circumstances. Past performance is not indicative of future results, and trading involves the possibility of loss.

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Dedications

This book is dedicated to all the traders, mentors, and team members I've had the privilege of working with over the past years. Each individual has contributed in their own unique way to my journey and has influenced the guidance provided in this book for those aspiring to become successful traders.

I extend my appreciation to my partner, Safiya, for her unwavering support, encouragement, and unfiltered honesty throughout my journey. Your honest feedback and unconditional belief in me keep me motivated and inspired to pursue my dreams every day.

Preface

In a fast-paced world designed to trap you in a nine-to-five barrier, trading offers significant opportunities for you to take control of your destiny. Trading is one of the last great frontiers in our economy where an individual can start with relatively small capital and become a multimillionaire. Yet, amidst the allure of potential profits, navigating the complexities of the financial markets and trading can often feel daunting and overwhelming. This book aims to simplify both the financial markets and trading while providing you with a comprehensive roadmap to embark on your trading journey with confidence and clarity.

Drawing from years of personal experience and insights gained from successful traders, this blueprint was created to equip you with the knowledge, skills, and strategies needed to navigate trading effectively. Whether you're a complete beginner or an experienced trader looking to refine your approach, this book offers deep insights and practical guidance on trading fundamentals to help you achieve your trading goals.

Throughout these pages, you'll discover:

- The fundamental principles of trading and how financial markets operate.
- Essential technical and fundamental analysis techniques to identify trading opportunities.
- Strategies for managing risk and preserving capital in volatile markets.
- Psychological insights to help you master your emotions and maintain discipline.
- Actionable steps to creating your own trading plan, journal, and rules.
- Practical tips for executing trades and optimizing your trading performance.
- And much more!

My goal is not only to teach you how to trade, but to empower you to build a sustainable trading career and fulfilling life. Contrary to popular belief, trading is not a get-rich-quick scheme; it requires dedication, patience, and a life-long learning mentality. By applying the principles outlined in this blueprint and applying them diligently, you'll be well-positioned to weather the ups and downs of the markets and achieve long-term success.

As you begin to walk this path, remember that every successful trader was once a beginner. The key lies in taking consistent action, learning from both successes and setbacks, and staying committed to the journey of becoming a trader.

So, whether you're looking to supplement your income, achieve time, location, and financial freedom, or simply enjoy the thrill of the trading world, use these pages as a guide to achieving your trading aspirations.

Enjoy,

Ewen

Introduction

Welcome to "Embarking on Your Trading Journey: The Ultimate Blueprint." I'm glad you've taken your first step towards becoming a successful trader. If you feel inspired to, please let me know you're reading this book by posting on your Instagram story and tagging me. I will share as many of them as possible.

If you have any questions as you go through this book, you can reach me in the chat section of the PlayBit Discord.

Additionally, if you require further guidance, assistance, and support to accelerate your trading journey, my team and I are here. Our premium tier provides a comprehensive trading support platform where we offer:

- Live trading and educational sessions daily
- All trade signals and position updates
- Cutting-edge market updates and analysis
- Educational resources and on-demand learning
- Real-time macroeconomic news updates and education
- Access to 5+ professional traders and analysts
- Access to a network of like-minded traders
- Premium giveaways
- 24/7 support
- And much more!

Before we dive in and explore trading, I want to give you insight into what life can look like as a successful full-time trader.

The pursuit of trading, especially as a full-time career, is a long and difficult path to walk. There will be many times that you feel like giving up. Anytime you feel this way, refer back to the points below and remember why you started. This will inspire and motivate you to stay on track. Here's the lifestyle that only being a successful trader can provide:

Flexibility: Trading provides the flexibility to set your schedule and manage your own time. As a successful trader, you can mold your work around your life, rather than your life around your job.

Independence: Full-time trading allows you to be your boss and not have to answer to anyone. You get to work when you want, how you want, and where you want. You're free to take risks and chances without an overbearing authority keeping an eye on you. Everything is planned, implemented, and executed by you.

Unlimited Earnings: Successful trading leads to significant financial gains without an earning ceiling. As a successful trader, you can become a money-printing machine and earn according to the amount of work you put in. Everything is dictated by you and not a paycheck at the end of each month.

Personal Growth: Trading requires discipline, patience, the ability to manage risks, development, adaptation, critical thinking, continuous learning, and more, all of which are essential for personal growth. Being a full-time trader means that you continuously develop skills and grow as an individual. This provides benefits inside and outside of trading.

No Commute: Trading can be done from the comfort of your home, on the beach, by the pool, or from any location with a reliable internet connection. When you become a successful trader, you have the luxury of saying goodbye to 8 am traffic jams.

Entrepreneurial Spirit: Full-time traders are essentially running their own small businesses, meaning that they have 100% autonomy and responsibility. Your success or failure is solely in your hands.

Time, Location, and Financial Freedom: This is by far the most attractive benefit of being a successful trader. As a successful trader, you can wake up where you want, when you want, and earn much more than an average person. You are not bound by a job or financial constraints and do not have to answer to anyone. It's true freedom!

While this sounds like a dream and is a very attractive lifestyle to lead, please note that the majority of traders fail to achieve these milestones. Therefore, if you're going to be one of the top percentiles who do, you must be driven, ambitious, disciplined, willing to make sacrifices, and consistently put in the work for a lifetime!

Managing Expectations

When embarking on your trading journey, it's essential to manage expectations and understand that it takes time (often years) to become consistently profitable. Learning this, it's crucial not to quit your day job in the early stages. If you put pressure on generating income from trading, it's going to place a lot of stress on you. As a result, you'll be far more emotional when trading, which often leads to poor decision-making. Once you've figured out how to become consistently profitable and stand the test of time, only then should you consider quitting your day job. When you reach this stage, the world becomes your oyster.

If all of the above sounds like exactly what you're seeking and you're up to the challenge, then let's proceed to the trading!

Chapter 1
Trading Preparation

Defining Your ‘Why’ and Trading Goals

Before we dive into anything trading-related, it’s important to first consider why you want to trade. Trading is a lifelong journey, and it’s not for the faint-hearted. Your 'why' will be the driving force that keeps you going and helps you stay motivated when things get tough. Your 'why' keeps you focused and oriented. By staying connected with your values, you stay focused on what's important. With a strong ‘why,’ any ‘what’ and how’ become possible.

In addition to your why, setting clear and achievable goals is crucial for any trader. Your trading goals serve as a compass, guiding your decisions and actions. Take the time to reflect on what you hope to achieve through trading.

Ask yourself, are you looking for short-term gains to supplement your income, or are you focused on building long-term wealth and a career from trading? Defining your goals will provide you with a blueprint for creating an effective trading plan.

Short-term vs. Long-term Goals

Understanding the time horizon of your trading goals is key. Short-term goals typically involve quick trades, taking advantage of price fluctuations within a day or a few weeks. Long-term goals, on the other hand, involve a more extended period, often involving strategic investments that may take months or years to unfold.

Clarifying whether you lean towards short-term or long-term goals will influence your trading style, strategies, and risk management approach. You should consider all personal lifestyle factors influencing your time commitment and dedication to trading and utilize this information to define your trading goals.

Risk Tolerance and Capital Allocation

Risk tolerance is a key element in defining your trading goals. Assessing how much risk you are comfortable taking on helps determine the types of assets you'll trade and the strategies you'll employ. Your risk tolerance should align with your financial situation, experience level, time commitment, personality, lifestyle, and emotional resilience.

Capital allocation is another critical aspect of goal definition. How much of your overall capital are you willing to allocate to trading? Striking the right balance ensures that you have enough resources to withstand inevitable market fluctuations while still allowing for potential growth. To help you decide, a good question to ask yourself is, “How much money and time am I willing to lose without it affecting the quality of my life?” This decision directly ties into risk management and can significantly impact the direction and sustainability of your trading journey.

Defining your ‘why’ and your trading goals are the first steps towards a successful trading journey. Whether you aspire for quick profits or long-term wealth accumulation, understanding everything mentioned above are pivotal components to consider in the beginning. As you embark on this journey, keep your goals in focus, and let them guide your decisions in the world of trading.

Action Points

At the end of each chapter, I’ve set action points to help guide you as you pursue this journey. Action points are specific tasks, goals, or actions that I encourage you to complete after completing each section of this guide. These points are designed to reinforce learning and facilitate the application of new knowledge or skills as you progress through this book. Please take the time to complete the action points thoroughly as they will help you to grasp the important factors and concepts taught in each chapter. Additionally, I’ve placed links to educational videos to further solidify your understanding of the topics and concepts taught. I highly suggest that you watch them if you wish to get the most out of this book.

Chapter 1 Action Points

Reflect on Your 'Why': Take some time to reflect on your motivations for trading. Consider what drives you to embark on this journey and write down your reasons for wanting to become a trader. Understanding your 'why' will provide clarity and motivation as you navigate the challenges of trading. Place your ‘why’ somewhere visible so you’re reminded often. To go one step further, create a vision board and set it as your phone and computer background so you are reminded of your ‘why’ daily.

Set Clear Trading Goals: Define your short-term and long-term trading goals. Determine whether you aim for quick profits or aspire to build long-term wealth through trading. Write down specific, measurable, achievable, relevant, and time-bound (SMART) goals that align with your aspirations and values. Setting goals at the beginning of your journey and reviewing them regularly provides insights into whether you’re making progress or not.

Assess Risk Tolerance and Capital Allocation: Evaluate your risk tolerance by considering factors such as your lifestyle factors, financial situation, experience level, time availability, and emotional resilience. Determine how much capital you are willing to allocate to trading, keeping in mind the potential impact on your overall quality of life and financial well-being.

Finished? Let’s move on to the trading.

Chapter 2
Understanding the Basics of Trading

What is Trading?

At its core, trading involves the buying and selling of financial instruments in the quest for profit. Traders engage in the markets to capitalize on price movements, whether they are rising or falling. Trading is a dynamic and complex activity that requires a blend of discipline, strategy, self-control, commitment, analytical skills, patience, adaptability, confidence, emotional control, market awareness, and much more. Therefore, if you're planning on pursuing trading full-time, you must be willing to adopt a lifelong student mentality.

Different Types of Trading (Scalp, Intraday, Swing, Position)

Trading comes in various forms, each with its own set of characteristics, commitments, and time horizons. Understanding these different types allows you to tailor your approach to match your goals and lifestyle. Let's explore them individually.

Scalp Trading

Scalp traders execute numerous small trades within a low time frame, seeking to profit from minor price movements in seconds or minutes. This trading style requires a keen understanding of price action, market dynamics, and quick execution. Scalper traders need to be extremely diligent and disciplined individuals due to the need to be strict about how long they keep positions open. They cut trades at very specific profit targets and even stricter levels of loss. Scalpers would never wait to see whether a losing trade will turn into a winning one.

A scalp trader will also need to be able to dedicate a lot of time to monitoring, given that a pure scalper would be entering and exiting many trades each day.

For this reason, it's very rarely a style of trading adopted by beginners or part-time traders. Because scalpers have to be glued to the charts, it is best suited for those who can spend several hours of undivided attention on their trading. As you can see by the scalp trade below, the total time spent in the position was 18 minutes. These types of scalp trades require intense focus and quick thinking to be successful.



Level: Advanced
Time commitment: High

Intraday/Day Trading

Day traders open and close positions within the same trading day, aiming to capitalize on intraday price fluctuations. This style demands a fairly high level of attention and quick decision-making, but not as much as scalp trading. The primary goal is to profit from short-term price movements in financial instruments. Day traders typically use a combination of strategies and analysis, including technical analysis, which focuses on past price movements and trading patterns, and momentum, which involves capitalizing on short-term trends and reversals.

Unlike long-term investors, day traders are less concerned with the fundamental value of the trading asset and more focused on capturing immediate gains from market fluctuations. The appeal of day trading lies in its potential for quick gains, but it's also associated with significant risks. It requires a solid understanding of the markets and the ability to make fast, informed decisions. Day traders need to stay abreast of market headlines, economic reports, and other factors that can influence price action throughout the day.

Additionally, day traders often employ leverage, borrowing money that can increase both potential profits and potential losses. As such, day trading is generally not recommended for inexperienced traders or those without the financial capacity to take losses.

Day trading can be profitable, but profits are far from guaranteed. Like scalp traders, many day traders end up losing money before calling it quits. Success in day trading requires a deep understanding of market dynamics, the ability to analyze and act on market data quickly, and strict discipline in risk management. The profitability of day trading depends on several factors, including the trader's skill, strategy, and the amount of capital they can invest. To give you an example of an intraday trade, see the image below. As you can see, the total time spent in the position was 8 hours and 30 minutes.



Level: Intermediate/advanced
Time commitment: High

Swing Trading: Swing traders aim to capture price "swings" or short-to-medium-term trends. Swing positions are typically held for several days to several weeks, making it more suitable for those who can't dedicate the entire day to trading. Swing traders primarily use technical and fundamental analysis to look for trading trends, patterns, and opportunities.

Typically, swing trading involves holding a position either long or short for more than one trading session, but usually not longer than several weeks or a couple of months. This is a general time frame, as some trades may last longer than a couple of months, yet the trader may still consider them swing trades.

Many swing traders assess trades on a risk/reward basis. By analyzing the chart of an asset, they determine where they will enter, where they will place a stop-loss order, and then anticipate where they can get out with a profit.



The difference between swing trading and day trading is usually the holding time for positions.

Swing trading often involves at least an overnight hold, whereas day traders close out positions before the market (day) closes. As you can see by the swing position above, it was opened on 15/02/2024 and closed on 12/03/2024, lasting almost 4 weeks. To generalize, day trading positions are limited to a single day, while swing trading involves holding for several days to several weeks or months.

Level: Beginner/intermediate/advanced
Time commitment: Medium

Position Trading

Position trading involves taking a longer-term view, with trades held for weeks, months, or even years. Position traders focus on fundamental analysis and broader market trends to buy assets as an investment for the long term in the expectation that they will appreciate in value.

This type of trader is less concerned with short-term fluctuations in price and the news of the day unless they change the trader's long-term fundamental view of the position, which makes them the opposite of day traders.



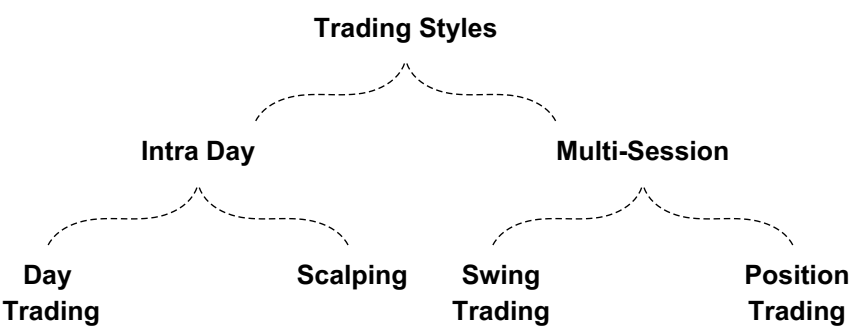
Position traders do not trade actively, with most placing only a handful of trades each year. These traders could almost fit in the category of buy-and-hold investors. Because of this, position traders require more starting capital as they are not actively increasing the size of their portfolios each day.

An example of position trading (investing) that most will be familiar with is Bitcoin. Many investors who understand the cyclical nature of the crypto market will simply buy Bitcoin during the bear market (low) and sell during the bull run (high) as seen in the example above. This simple, yet highly effective strategy generates significant returns on investments if done well.

Level: Beginner/intermediate/advanced
Time commitment: Low

When it comes to choosing the right trading style for you, you must consider your account size, lifestyle, personality, time commitment, experience, risk tolerance, and more. It's common for traders to experiment with different styles before finding the one that aligns best with their preferences and goals.

I must emphasize the significance of a personalized trading journey. Personally, understanding my strengths and weaknesses as an individual and a trader, I thrive in swing trading and day trading but steer clear of scalp trading due to my decision-making pace and lifestyle factors that affect my time commitment. Discovering an optimal method that aligns with your strengths is key. Instead of attempting to master all methods, focus on mastering one or two of them - it's better to be a master of one than a master of none.



Financial markets and Instruments (Stocks, Forex, Cryptocurrency, Commodities)

Once you've determined which style of trading may be best suited to you, you then need to discover which market is appropriate for you. The financial markets offer a diverse array of options, each with its unique characteristics, and risk levels. Understanding the variety of markets and instruments allows you to diversify your trading capabilities and adapt to various market conditions. The chosen style of trading, your financial resources, location, and the time of day you would like to trade, can all play a role in which markets will be best suited to you.

Stock Market

The term stock market refers to several exchanges in which shares of publicly held companies are bought and sold (traded). Stock markets, such as the New York Stock Exchange (NYSE) and NASDAQ, are central to global financial systems. When you invest in stocks, you purchase small percentages of publicly traded companies. These shares represent a proportional ownership in the company and are typically bought and sold. Trading stocks can generate returns through two main mechanisms: (1) capital appreciation and (2) dividends.

Capital appreciation occurs when the value of your shares increases over time. This can happen as the company becomes more profitable, expands its operations, or experiences a surge in investor confidence. Then, traders can then sell their shares at a higher price than what they initially paid, and this is how stocks are traded for profits.

Dividends are periodic payments made by some companies to their shareholders. These payments are usually a portion of the company's profits and provide a steady income stream to investors. Not all companies pay dividends, but those that do often appeal to income-oriented investors. This isn't a trading method but still an important factor to consider when selecting a financial market.

Stock Market Pros:

Stability: Generally, stock markets are more stable compared to other financial markets.

Regulation: Stock markets are heavily regulated, providing investors with a certain level of protection against fraudulent activities.

Diversification: Traders and investors can diversify their portfolios by investing in stocks across various industries and sectors.

Dividends: Some stocks offer dividends, which can provide a regular income stream.

Stock market Cons:

Higher capital requirements: Trading or investing in stocks can require a larger initial investment compared to forex, cryptocurrencies, and some commodities. However, this isn't always the case.

Limited trading hours: Stock markets have fixed trading hours, which may limit opportunities for investors who prefer to trade outside of regular market hours.

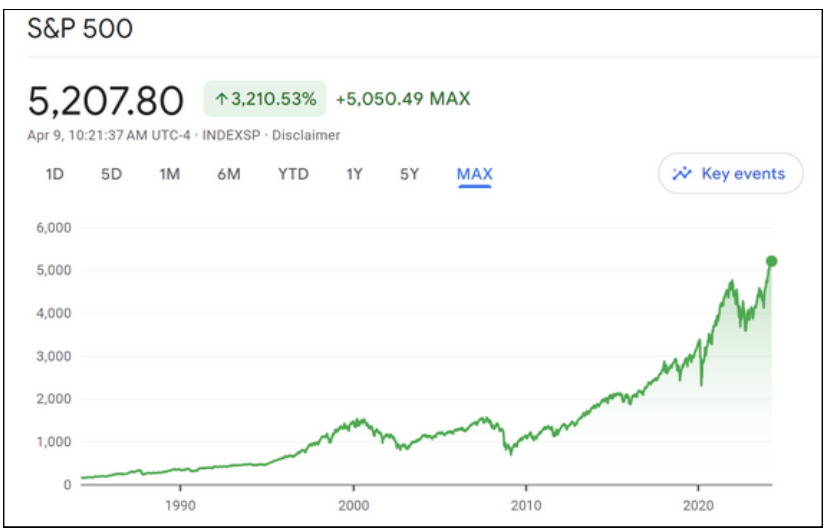
Less volatility: While stability can be a pro, it can also mean potentially lower profit opportunities compared to more volatile markets like forex, cryptocurrencies, and some commodities.

Personally, I don't trade stocks. I view the stock market as an investment vehicle via index funds. An index fund is a type of mutual fund or exchange-traded fund (ETF) with a portfolio constructed to match or track the components of a financial market index, such as the Standard & Poor's 500 Index (S&P 500).

The S&P 500 is a stock market index tracking the stock performance of 500 of the largest companies listed on stock exchanges in the United States. Think Apple, Microsoft, Amazon, Nvidia, etc.

These index funds provide broad market exposure, low operating expenses, and low portfolio turnover, making them a great option for a lower-risk lower-maintenance investment vehicle.

For reference, the S&P 500 has returned a historic annualized average return of around 10.26% since its 1957 inception through to the end of 2023, making it great for dollar cost averaging (DCA) and long-term lower-risk investing. Saying this, I know many very successful stock market day traders, so don't rule it out! It all depends on your personal preference and factors on whether it would be a good financial market for you to operate in.



How to Start Trading Stocks

1. Open a Trading Account

You will need a broker to execute trades, so find one that you like and trust. There are many brokers to choose from, each with their own specialties. A quick Google search will give you plenty of ideas to begin.

2. Budget Allocation

Set a trading budget for yourself and stick to it!

You can start trading with any amount but never allocate the capital you require for mortgage payments, food, or emergencies. Always remember to never invest more than you can afford to lose!

3. Learn the Basics

Trading all assets or markets relies on technical analysis and fundamental analysis to make decisions based on price action, historical market data, evaluating an asset, and determining its true worth. All of which will be covered later in this e-book.

4. Practice with a stock market simulator (demo account)

Before you start trading and risking money on a live account, test stock trading on a demo trading or paper trading account. Demo trading allows you to test the market in a risk-free environment.

5. Plan your first trade

If you decide to continue in the stock market, all you need to do is fund your brokerage account and you're ready to go. At this stage, be sure to establish a trading plan. A good trading plan outlines entry (buy), and exit (stop-loss and take-profit) points, risk management guidelines, a journal checklist, and more, which we will cover later in this book.

Forex (Foreign Exchange)

Forex trading involves the exchange of one currency for another in the global currency market. It is the largest and most liquid market globally and the market is open 24 hours a day, five days a week.

Currencies are traded worldwide in the major financial centers of Frankfurt, Hong Kong, London, New York, Paris, Singapore, Sydney, Tokyo, and Zurich across almost every time zone. This means the forex market begins in Tokyo and Hong Kong when the U.S. trading day ends. The forex market can be highly active at any time, with prices changing constantly.

Forex trading involves buying and selling different currencies to make a profit. At its core, forex trading is about capturing the changing values of pairs of currencies. For example, if you think the Euro will increase in value against the U.S. Dollar, a speculator might buy Euros with Dollars. If the Euro's value rises on a relative basis (the EUR/USD rate), you can sell your Euros back for more Dollars than you initially spent, thus making a profit.

Forex Market Pros:

High liquidity: The forex market is the largest financial market in the world, providing traders with high liquidity, volume, and the ability to enter and exit trades easily.

Accessibility: Forex markets operate 24 hours a day, five days a week, allowing traders to participate at any time.

Leverage: Forex trading allows for high leverage, which means traders can control large positions with a relatively small amount of capital.

Diverse trading opportunities: Forex traders can speculate on various currency pairs from around the world, meaning that they never fall short on choice.

Forex Market Cons:

Higher volatility: The forex market can be highly volatile, leading to rapid price fluctuations and increased risk.

Less regulation: Compared to stock markets, the forex market is less regulated, which may expose traders to higher levels of risk.

Complex factors influencing exchange rates: Forex trading involves understanding a wide range of economic, geopolitical, and other factors that can affect currency values.

The Best Times to Trade Forex

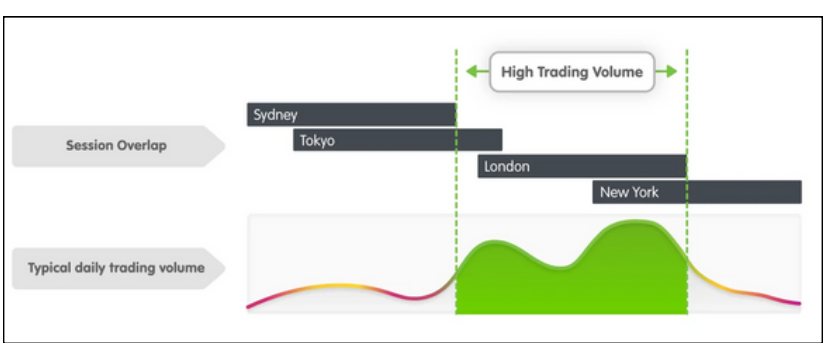
As mentioned above, the forex market is open 24 hours a day during the weekdays which allows traders to potentially trade all day and all night. However, just because you can trade the market any time of the day or night doesn't necessarily mean that you should. Knowing the forex market's operating hours is essential for a trader.

The best time to trade is when the market is active with lots of forex traders opening and closing positions, which creates a large volume of trades. The forex market can be broken up into four major trading sessions: the Sydney session, the Tokyo session, the London session, and the New York session.

As traders, we can make money when the market moves up and down. However, we have a very difficult time making money when the market doesn't move at all. For the market to move, there needs to be lots of trading activity. This is why we focus energy on trading during specific sessions.

The sessions:

- The Sydney session (9:00 pm - 6:00 am UTC)
- The Tokyo session (12:00 am - 9:00 am UTC)
- The London session (7:00 am - 4:00 pm UTC)
- The New York session (1:00 pm - 10:00 pm UTC)



The best time for you to trade forex will depend on which currency pair you're looking to trade.

Most of the trading activity for a specific currency pair will occur when the trading sessions of the individual currencies overlap.



For example, AUD/JPY (Australian Dollar/Japanese Yen) will experience a higher trading volume when both Sydney and Tokyo sessions are open. Additionally, EUR/USD (Euro/US Dollar) will experience a higher trading volume when both London and New York sessions are open.

I trade Forex. I enjoy the structured approach of knowing to be at my desk at a certain time, every day, from Monday to Friday. This way, I can treat trading more like a business or a job, and structure my life routine around it.

How to Start Trading Forex

1. Learn about forex: While it is not complicated, forex trading is something that requires specialized knowledge and a commitment to learning, strategy, and discipline.

2. Set up a brokerage account: You will need a forex trading account at a brokerage (I use EPFX) and a trading app such as MetaTrader to get started.

3. Develop a trading strategy: While it is not always possible to predict and time market movement, having a trading strategy will help you set broad guidelines and a road map for trading (more on this later).

4. Practice on a demo account: Before you start trading and risking money on a live account, test forex trading on a demo trading account. Demo trading allows you to test the market in a risk-free environment.

5. Be calculated: Once you begin live trading, check your positions regularly. Most trading software already provides daily accounting of trades to help you keep track of your trades. Also, be sure you have sufficient cash in your account to make future trades.

6. Emotional and risk management discipline: Beginning any type of trading is an emotional roller coaster. Discipline yourself to manage your trading and close your positions when necessary according to your trading and risk management plan (more on this later).

Cryptocurrency

A cryptocurrency is a digital or virtual currency secured by cryptography, which makes it nearly impossible to counterfeit or double-spend. Most cryptocurrencies exist on decentralized networks using blockchain technology, a distributed ledger enforced by a different network of computers. A defining feature of cryptocurrencies is that they are generally decentralized, which means they are not issued by any central authority. As a result, they are theoretically immune to government interference or manipulation.

As a trading asset class, the crypto market deals with digital currencies like Bitcoin, Ethereum, and many others. Crypto trading is the process of speculating on coin prices and buying and selling them accordingly. Unlike some other trading assets or financial markets, cryptocurrency trading operates 24/7 and is known for its extreme volatility.

The main idea of crypto trading is to buy crypto assets expected to increase in value, typically because of hype and speculation, events in the news, the economy, regulations, and so on, and sell them for a maximum profit before prices drop.

Additionally, like in the forex market, you can take long and short positions in the market (futures) and capitalize on upward and downward price action.

Please note that Web3, cryptocurrency, and the blockchain are a vast and complex ecosystem, so before diving into trading crypto and capitalizing on the market's opportunities, it's crucial to understand the technologies before attempting to trade them or invest in them.

Cryptocurrency Pros:

Potential for high returns: Cryptocurrencies have experienced rapid price appreciation due to extreme market volatility, offering the potential for significant and quick profits.

Decentralization: Cryptocurrencies operate on decentralized networks, reducing the influence of governments and central banks.

Accessibility: Cryptocurrency markets are open 24/7, allowing traders to participate at any time.

Innovative technology: Blockchain technology underlying cryptocurrencies has the potential to revolutionize various industries beyond finance.

Cryptocurrency Cons

Extreme volatility: Cryptocurrency prices are highly volatile, leading to substantial price swings within short periods. While this can lead to significant profits, it can also lead to significant losses.

Lack of regulation: Cryptocurrency markets are relatively unregulated compared to traditional financial markets, which can expose investors to scams and fraud. This means that you are solely responsible for all your activities in the crypto market. If you make a mistake, there's no customer support to help you.

Security risks: Cryptocurrency exchanges and wallets are vulnerable to hacking and theft, leading to potential loss of funds. These risks can be mitigated by storing your crypto assets offline.

Limited Adoption: While acceptance of cryptocurrencies is growing, they are still not widely accepted as a form of payment, limiting their utility compared to fiat currencies.

I trade cryptocurrencies and it's where I started my trading and investing journey. Nowadays, I lean towards using crypto, specifically Bitcoin and Ethereum as a hedge for my funds. My current strategy focuses on generating profits from day trading in other markets and rotating those funds to accumulate crypto assets at good price points to hold as long-term investments.

Day trading in crypto is different from being a crypto investor. Good crypto day traders rely primarily on technical analysis. On the flip side, good crypto investors rely on fundamental analysis and an understanding of the cyclical nature of the market (bull and bear market).

How to Start Trading Crypto

Educate Yourself: Before diving into crypto trading, take the time to educate yourself about the basics of Web3, cryptocurrencies, blockchain technology, and trading strategies. There are numerous online resources available to help you understand the market dynamics and risks involved.

Choose a Reliable Exchange: Select a reputable cryptocurrency exchange where you can buy, sell and trade cryptocurrencies. Some popular exchanges include Binance, Coinbase, and BingX. I use BingX. Research each exchange's fees, security features, available crypto pairs, and user interface to find the best fit for your needs.

Create an Account: Sign up for an account on your chosen exchange. This typically involves providing your email address, creating a password, and completing identity verification procedures (KYC) required by most exchanges.

Secure Your Account: Enable two-factor authentication (2FA) and other security features offered by the exchange to enhance the security of your account.

This helps protect your funds from unauthorized access. This is especially important in the risk-prone world of crypto.

Deposit Funds: Deposit fiat currency (such as USD, EUR, or your local currency) into your exchange account using bank transfers, credit/debit cards, or other payment methods supported by the exchange.

Choose Your Cryptocurrencies: Decide which cryptocurrencies you want to trade. Bitcoin (BTC) and Ethereum (ETH) are popular choices, but there are thousands of other cryptocurrencies available for trading. Conduct thorough research on each cryptocurrency's fundamentals (fundamental analysis), use cases, and price history (technical analysis) before making investment decisions.

Develop a Trading Strategy: Develop a trading strategy based on your risk tolerance, investment goals, and market analysis. Consider factors such as technical analysis, fundamental analysis, market trends, and risk management techniques when creating your strategy. More on this later.

Start Trading: Once you've funded your exchange account and developed a trading strategy, you can start buying and selling cryptocurrencies. Place buy or sell orders on the exchange's trading platform according to your trading strategy.

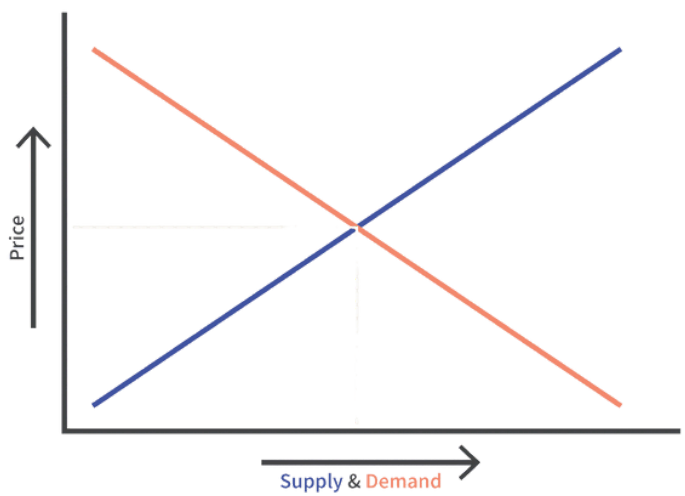
For a guide on how to start trading crypto, I'm gifting my "Cryptocurrency Navigator: An Introductory Guide" to you for free. The guide explains everything in detail about how you can start your cryptocurrency journey if you wish to pursue this market. To access your guide, simply find the "educational guides" section in my Instagram bio link.

Commodities

Commodities are an important aspect of our daily lives, providing the food we eat, the precious metals we wear, and the energy used to propel our machines. A commodity is a basic good traded in large volumes and interchangeable with other goods of the same type.

The commodities market is often split into two broad categories: hard and soft commodities. Hard commodities include natural resources that must be mined or extracted, such as gold, silver, rubber, and oil, whereas soft commodities are agricultural products or livestock, such as corn, wheat, coffee, and sugar. Typically, commodities allow traders to profit from price fluctuations and investors to diversify their portfolios and hedge against inflation.

The basic economic principles of supply and demand drive commodities markets. Low supply and high demand equate to higher prices. High supply and low demand equate to lower prices. Therefore, factors such as currency fluctuations, geopolitical and economic stability, disruption in logistics and supply chains, global economic changes and developments, as well as technical changes can all influence the price action of commodities.



Just like other assets and financial markets, commodities are bought and sold (traded) on exchanges. Traders decide to buy and sell commodities because they believe their prices will change. If you decide to open a long position and the price of your chosen commodity rises, you will be able to close the trade and make a profit. It's that simple.

Commodities Pros

Diversification: Commodities offer an additional asset class for diversifying an investment portfolio. They often have a low correlation with traditional assets such as stocks and bonds, which can help reduce overall risk.

Hedging: Commodities provide a way to hedge against inflation and currency fluctuations. Since commodities tend to rise in value during inflationary periods, they can act as a hedge against the declining purchasing power of fiat currencies.

Liquidity: Many commodities markets are highly liquid, with significant trading volumes and tight bid-ask spreads. This liquidity can make it easier to enter and exit positions quickly without significantly affecting market prices.

Global Demand: Commodities are essential raw materials used in various industries worldwide, making them less susceptible to economic downturns in specific regions. Global demand for commodities such as oil, gold, and agricultural products often remains strong regardless of economic conditions.

Commodities Cons

Volatility: Commodities markets are known for their volatility, with prices often experiencing rapid and unpredictable fluctuations. This volatility can result in substantial gains or losses for traders, depending on their positions and market timing.

Leverage and Margin Requirements: Trading commodities often involves the use of leverage, which can amplify both profits and losses. High levels of leverage increase the risk of margin calls and potential account liquidation if trades move against the trader.

Seasonal Factors: Certain commodities, such as agricultural products, are subject to seasonal factors that can impact supply and demand dynamics. Traders need to consider these seasonal patterns when making trading decisions, which may require additional research and analysis.

One of the most popularly traded commodities is gold (XAUUSD). The gold market has expanded in recent years, providing opportunities for individuals who previously may not have considered trading gold. Gold has a greater daily trading volume than most forex currency pairs, except for majors like EUR/USD, USD/JPY, and GBP/USD. Because of its massive daily trading volume, the fees for trading gold in the markets are relatively low, making it a very attractive asset to trade.

Gold is the only commodity that I trade, and I trade it daily during the crossover between the New York and London sessions. Due to its volatility, diversification, liquidity, clean price action, daily trading volume, and global demand, gold is one of my favorite assets to trade as it presents significant money-making opportunities.

Here is my cheat sheet on how to trade gold (XAUUSD) for free. Find the “educational guides” section in my Instagram bio link to access it.

How to Start Trading Commodities

The process is almost identical to how to start trading in the forex market.

1. Learn about commodities: The first and primary step for a trader to start commodity trading is to get familiar with commodities and the exchanges that they are traded on.

2. Selecting a broker: You will need a trading account with a broker (I use EPFX) and a trading app such as MetaTrader to get started.

3. Develop a trading strategy: While it is not always possible to predict and time market movement, having a trading strategy will help you set broad guidelines and a road map for trading.

4. Practice on a demo account: Before you start trading and risking money on a live account, test commodity trading on a demo trading or paper trading account. Demo trading allows you to test the market in a risk-free environment.

6. Emotional and risk management discipline: Beginning any type of trading is an emotional roller coaster. Discipline yourself to manage your trading and close your positions when necessary according to your trading and risk management plan (more on this later).

As you begin your trading journey, exploring different trading styles, markets, and financial instruments will help you discover where your interests and strengths lie. In the beginning, diversification across various assets can also contribute to a well-rounded and resilient trading strategy. However, it's a good idea to niche down and pick one or two markets to specialize in rather than trying to operate in them all.

Chapter 2 Action Points

1. Self-Assessment: Begin by evaluating your strengths, weaknesses, and preferences as an aspiring trader. Consider factors such as your decision-making pace, lifestyle commitments, risk tolerance, and financial capacity. This self-assessment will help you identify which trading style aligns best with you as a person.

2. Educational Investment: Spend some time learning about the various types of trading outlined in this chapter. Understand the unique characteristics, time commitments, and skill levels required for each style. Consume further educational resources such as YouTube videos or books to deepen your understanding of the trading styles, their principles, and techniques.

3. Market Selection: Explore different financial markets and determine which aligns best with your objectives. Research the characteristics, liquidity, trading hours, and regulatory environment of each market in your jurisdiction. Consider factors such as your interests and access to guidance when selecting the market(s) you want to focus on.

Chapter 3
Building a Strong Trading Foundation

Once you've explored trading styles and financial markets, it's crucial to develop a strong educational foundation. The ever-changing nature of trading and financial markets requires you to educate yourself continuously with adaptation, resilience, and a strong willingness to win.

At this stage, you should explore various avenues for educating yourself to ensure you are well-equipped for the challenges and opportunities that lie ahead, not just in trading, but also in your mind. In this chapter, my favorite educational materials are outlined for you to consume at your leisure. Feel free to skip this chapter and refer back to it later if you wish.

Reading Materials and Books

There are countless books covering a range of topics, from how money works, basic principles, traders' experiences, economics, and mindset to advanced strategies. Below are some highly insightful classics to get you started.

"The Psychology of Money" by Morgan Housel

In "The Psychology of Money," the author teaches you how to have a better relationship with money and to make smarter financial decisions. This book offers insights into how we perceive and manage our finances, and the impact of emotions on our financial decisions.

Additionally, it shows you how your psychology can work for and against you. As a trader, understanding how money works and the effect it has on your emotions is crucial!

"Trading in the Zone" by Mark Douglas

"Trading in the Zone" provides a deep and insightful exploration of the psychology of trading.

It emphasizes that a trader's mindset, discipline, and emotional control are just as important, if not more so, than the trading strategy itself. This one is a must-read!

"Market Wizards" by Jack D. Schwager

"Market Wizards" is a compilation of interviews with highly successful and wealthy traders. It offers valuable insights into their strategies and mindset, providing you with a unique perspective on the world of investing. I believe that studying those who are in desirable positions provides invaluable information on how to get there.

"How to Day Trade for a Living" by Andrew Aziz

"How to Day Trade for a Living" is a practical guide for beginners to learn the art of day trading and develop the necessary skills to succeed particularly in the stock market. While this book primarily focuses on the stock market, the lessons taught are transferable and can be applied to all financial markets.

"The Intelligent Investor" by Benjamin Graham

"The Intelligent Investor" offers excellent investment advice, encouraging readers to focus on long-term value over short-term gains, making this a must-read for those looking to trade and invest wisely on a higher time frame.

"The Warren Buffett Way" by Robert G. Hagstrom

"The Warren Buffett Way" is a captivating book that explores the investment strategies and philosophy of the legendary investor Warren Buffett. It offers valuable insights and lessons for anyone interested in the world of finance, trading, and investing.

"The Mental Game of Trading" by Jared Tendler

"The Mental Game of Trading" busts myths about greed, fear, and discipline and shows you the real reasons you're leaving money on the table.

This book is a must-read if you're aspiring to trade for a living and applies to stock trading, forex trading, options trading, futures trading, and crypto trading.

"The Disciplined Trader" by Mark Douglas

"The Disciplined Trader" presents a comprehensive roadmap for achieving consistency in the unpredictable world of financial markets. It offers insights into disciplined trading, psychological resilience, and the role of continuous learning in achieving success. It challenges you to look beyond conventional wisdom and to understand that successful trading is not just about market knowledge but also about mastering one's mind.

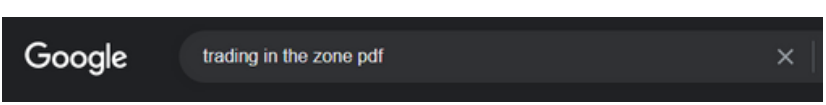
"Atomic Habits" by James Clear

"Atomic Habits" by James Clear is a comprehensive, practical guide on how to change your habits and get 1% better every day. Using a framework called the Four Laws of Behavior Change, "Atomic Habits" teaches readers a simple set of rules for creating good habits and breaking bad ones. The 1% principle is essential to apply to trading.

"Best Losers Win" by Tom Hougaard

"Best Loser Wins" is an intimate insight into one of the most prolific high-stake retail traders in the world. Tom Hougaard is the winner of multiple trading competitions and on one occasion traded £25,000 into more than £1 million over a year. It explains how thinking differently when trading can elevate your game from mediocre and sporadic to excellent and consistent.

As you progress, explore more specialized literature that aligns with your chosen trading style, market, and goals. Please note that you can often find PDF versions of books for free via Google. Simply search using the example below.



YouTube, Podcasts, and Webinars

Continuing your education, take advantage of the internet by watching YouTube, listening to podcasts, and attending webinars offered by reputable educational platforms such as my own. By doing so, you'll be able to gain exposure and a better understanding of technical analysis, fundamental analysis, risk management, and specific trading strategies with visual aids and in-depth explanations.

I encourage you to participate in interactive live sessions as they offer opportunities for real-time engagement and the chance to learn from seasoned experts. My personal trading platform offers a plethora of sessions and educational resources catering to traders of all levels. Here's the website if you want to learn more. To get you started with YouTube education, here are my favorite trading channels in a variety of markets (hyperlinked).

Benjamin Cowen (Crypto)

Benjamin Cowen takes a practical approach to cryptocurrency, using his science, engineering, and programmatic background to explain price-driving metrics in an easily digestible way. He maintains a level head on his YouTube channel, providing information and education helpful when researching different coins.

Wysetrade (Trading tutorials)

Wysetrade condenses its trading knowledge into refined, step-by-step videos designed to shorten the learning curve for traders of all levels. The channel simplifies complex concepts into an easily understandable format for quick application.

The Trading Channel (Forex)

Run by professional Forex trader and coach Steven Hart, The Trading Channel shares market knowledge to help you expedite your learning curve in Forex trading and achieve financial freedom.

Coin Bureau (Crypto)

Coin Bureau is your go-to informational YouTube channel for all things Cryptocurrency. It aims to facilitate the mass adoption of cryptocurrency through education.

Inner Circle Trader (Crypto/Forex)

The Inner Circle Trader (ICT) channel teaches a technical trading method that relies on chart analysis and market trends to make trades. The strategy is based on the idea that market trends can be predicted by analyzing price action, support, and resistance levels, order blocks, and identifying key areas of liquidity. We'll touch more on ICT later.

Here are my favorite podcasts for trading, investing, money, mindset, experiences, and economics.

Bankless (Crypto)

The Bankless podcast is the ultimate guide to crypto finance, internet money, DeFi, NFTs, and cryptocurrencies. This podcast explores how to get started, how to get better, and how to front-run the opportunity.

All In Podcast (Economics)

In this podcast, industry veterans, degenerate gamblers, and best friends Chamath Palihapitiya, Jason Calacanis, David Sacks, and David Friedberg cover all things economic, tech, political, social, and poker.

Chat With Traders (Stocks/futures/options/forex/crypto)

Hosted by Tessa Dao and Ian Coxin, listen to conversations with talented traders in crypto, futures, options, and forex markets.

Naval (Investing/business)

Naval Ravikant is the CEO and co-founder of AngelList.

He has invested in more than 100 companies, including Uber, Twitter, Yammer, and many others. Naval runs a short-form podcast where he discusses crypto, investing, philosophy, and business.

Words of Rizdom (Interviews with successful traders)

Words of Rizdom is the "number 1 and fastest-growing trading and finance podcast in the world!" This podcast is free-flowing, and conversations usually dive deep into the world of trading, finance, deep psychology, and trading experiences so you can learn from those who have "made it" as traders.

My First Million (Business/economics)

A podcast where Sam Parr and Shaan Puri brainstorm new business ideas based on trends and opportunities they see in the market. Sometimes they bring on famous guests like Mr. Beast, Rob Dyrdek, and Sophia Amoruso to brainstorm with them.

All of the above can be found on popular platforms such as YouTube.

Mentorship and Networking

As mentioned previously, learning from those who have walked the path before you is invaluable. Seek out mentorship from experienced traders or friends who can provide guidance and share practical insights. Additionally, joining trading communities, both online and offline, facilitates networking with like-minded individuals.

To go one step further, attend meetups and participate in social media groups to exchange ideas, discuss market trends, and learn from the experiences of others if possible. Mentorship and networking not only accelerate your learning curve but also offer emotional support, inspiration, and accountability during the inevitable ups and downs of trading. If you're looking for a trading community, here's an invitation to the free tier of mine. If you're looking to join PlayBit Premium, I've 7-day free access pass at the end of this book.

Remember, education is a lifelong process. Stay curious, explore new concepts, strategies, and continuously refine your understanding of the markets until you find what works for you. By investing in your knowledge base, you lay the foundation for a successful and sustainable trading career.

Chapter 3 Action Points

1. Create a Reading List: Compile a list of books recommended in this chapter and set aside dedicated time each week to read them. Start with one book at a time and take notes on key insights and strategies. Don't try to run before you learn to walk!

2. Explore Online Resources: Utilize online platforms such as YouTube, podcasts, and webinars to supplement your learning. Subscribe to reputable channels and podcasts mentioned in the chapter and commit to watching/listening to educational content regularly.

3. Join Trading Communities: Seek out online trading communities, forums, and social media groups where you can network with fellow traders, ask questions, and share experiences. Actively participate in discussions and absorb information like a sponge.

Chapter 4
Setting Up Your Trading Environment

While you're educating yourself and preparing for trading, creating a comfortable and well-organized trading space is a good bonus for optimal focus, performance, and decision-making if you're pursuing trading seriously. Many people overlook this aspect; however, I believe that it can be important for long-term success as you'll be spending days, weeks, and months at your trading station. This chapter highlights the key components of setting up your trading environment, ensuring you have the necessary tools and setup for success.

Equipment Options

While adopting everything in this section isn't necessary, it can make a big difference. To pursue a career in trading, you're going to be spending countless hours at your desk. Having comfortable equipment and suitable software and hardware is going to make your experience and journey more comfortable, but it's not impossible without it. When setting up your station, here's what to consider:

Computer Setup: Choose a reliable laptop/computer with sufficient processing power and memory. Dual or multiple monitors can enhance your ability to monitor multiple charts simultaneously. This is not a necessity at the beginning but can be very helpful later. You can also trade from your phone, however, it's much more difficult in the beginning due to the lack of chart visibility and execution speed.

High-Speed Internet Connection: A stable and high-speed internet connection is non-negotiable for timely data updates and quick order execution. You do not want to lose connection while trying to enter or exit a position.

Security Software: Implement security measures, including antivirus software, VPNs, and firewalls, to safeguard your trading activities and personal information. I cannot stress how important cybersecurity is, especially when exploring the cryptocurrency ecosystem.

I've been hacked and scammed before, losing an entire crypto portfolio worth a significant amount of money. Therefore, premium paid versions of security software are non-negotiable for me. A small investment in your cybersecurity is worth it if it can prevent significant losses due to scams.

Trading and Charting Platforms: Select a user-friendly and reliable trading platform that aligns with your trading style. Popular trading platforms include MetaTrader and popular charting platforms include TradingView.

Data Feeds: High-speed data feeds are ultra-low-latency data connections that provide real-time information and executions for high-speed trades. High-speed traders invest heavily to obtain the fastest networks and data feeds to gain a competitive edge in trading. If possible, ensure your chosen platform has access to real-time market data feeds. Timely and accurate data is vital for making informed trading decisions.

Creating a Productive Environment

Next, the physical and mental environment in which you trade significantly influences your focus and decision-making. If you're serious about trading, consider the following factors when setting up your trading space.

Ergonomics: Ergonomics is the process of designing or arranging workplaces, products, and systems so that they fit the people who use them. If you're going to be spending thousands of hours at your desk, it's worth investing in a comfortable chair and high-quality desk setup to reduce physical strain during extended trading sessions.

Noise Control: Minimize distractions by choosing a quiet location for your trading space. Noise-canceling headphones can be beneficial in a busy environment. While not everyone is the same, I perform best in absolute silence so I can focus with precision on the charts.

Organization: Keep your trading area clutter-free and well-organized. Have a dedicated space for essential equipment, trading journals, cheat sheets, and other necessary materials.

Chapter 4 Action Points

1. Evaluate Your Current Setup: Take a critical look at your current trading environment. Assess whether it meets your needs in terms of comfort, functionality, and organization.

2. Identify Necessary Upgrades: Determine if there are any equipment or software upgrades needed to enhance your trading experience. If possible, this could include investing in better hardware or software, upgrading your internet connection, or switching to a more comfortable chair.

3. Organize Your Workspace: Keep your trading area clutter-free and well-organized. Designate specific areas for essential equipment, trading journals, cheat sheets, and other materials to ensure easy access and maximum efficiency.

4. Implement Cybersecurity Measures: Protect your trading activities and personal information by implementing robust cybersecurity measures. Install antivirus software (I use Malware Bytes Premium), use a VPN (I use Mullvad VPN), and educate yourself on cyber threats and potential hacks.

Chapter 5
Technical and Fundamental Analysis

Now that you've explored your trading style, selected a financial market, educated yourself, and created a comfortable trading space, it's time to develop an understanding of technical analysis to guide your actions and decision-making in the markets.

This chapter dives deep into the fundamentals of creating a trading strategy, incorporating various analysis methods such as technical and fundamental analysis for a comprehensive approach to decision-making to help you make money as a trader. Please note that trading blindly without charts and analysis makes it impossible to consistently be profitable as a trader, so pay close attention here!

What is Technical Analysis?

Technical analysis is a method used by traders and investors to evaluate and forecast future price movements of financial assets by analyzing historical price charts and trading volume. It is based on the idea that historical price and volume data can provide insights into future market behavior.

Technical analysts believe that historical price patterns tend to repeat themselves, and by identifying these patterns, they can make informed and accurate predictions about future price movements to establish entry and exit points of their trades. Here are the fundamental concepts of technical analysis that you need to understand.

Price Charts

Technical analysis uses various types of charts, primarily price (candlestick) charts, to visually represent historical price data. A price chart reveals graphically how a particular market is performing or has performed in the past. It is a graphic representation of historical and current price data. Candlesticks represent price data, with one candlestick being drawn for each specified interval. In simple terms, charts are just visual representations of price itself.

I recommend spending some time browsing TradingView and familiarizing yourself with price charts. Once you're on the TradingView homepage on your computer, navigate to the "products" tab at the top of the page and select the "supercharts" option on the dropdown menu. On the right-hand side, you will find a watchlist of different charts for different assets and markets. Have a browse and familiarize yourself with the user interface. As a trader, you will spend a lot of time on TradingView.



Time Frames

In technical analysis, a time frame refers to a specific duration or time period over which you examine and analyze the price action and market data on a chart. Time frames are a critical aspect of technical analysis as they significantly impact the trading strategy and conclusions drawn from your analysis.

A time frame is the interval of time that each candlestick represents on the chart, ranging from seconds to minutes, hours, days, weeks, and months. You can select your chart time frame on TradingView when exploring price action.

As covered in Chapter 2, each time frame is used for a different style of trading:

- **Seconds-minutes:** Scalp trading
- **Minutes-hours:** Intraday trading

• **Daily-weekly:** Short-term swing trading
• **Weekly-monthly:** Medium-term swing trading or position investing
• **Monthly-yearly:** Long-term swing trading or position investing



Understanding time frames is important as it helps you determine your trading style and helps with identifying analysis objectives, risk and reward, price information, market conditions, and more. It's a good idea to use multiple time frames to gain a comprehensive overview of the market and develop high-conviction confluence before entering trade positions.

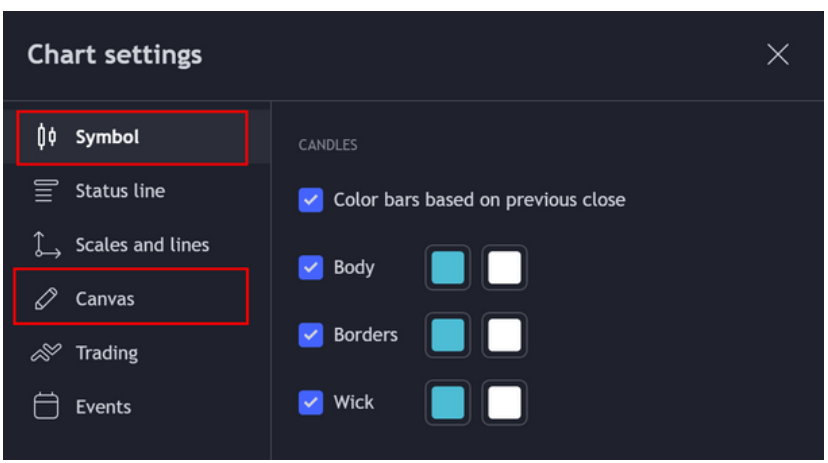
By employing time frame analysis, the aim is to reduce the risk of making decisions based on isolated, short-term price movements and instead gain a better view of the entire market. You will learn how to use multiple time frames to conduct a top-down analysis and examine the market to make smarter trading decisions in later chapters when establishing your trading strategy and plan.

Candlesticks

A candlestick is a type of price chart used in technical analysis that displays the high, low, open, and closing prices of a trading asset for a specific timeframe (daily, hourly, minutes, seconds). A candlestick is made up of two parts, a body and a wick (also known as shadow or tail). On default settings, candlesticks are either green (upward price action - bullish) or red (downward price action - bearish).

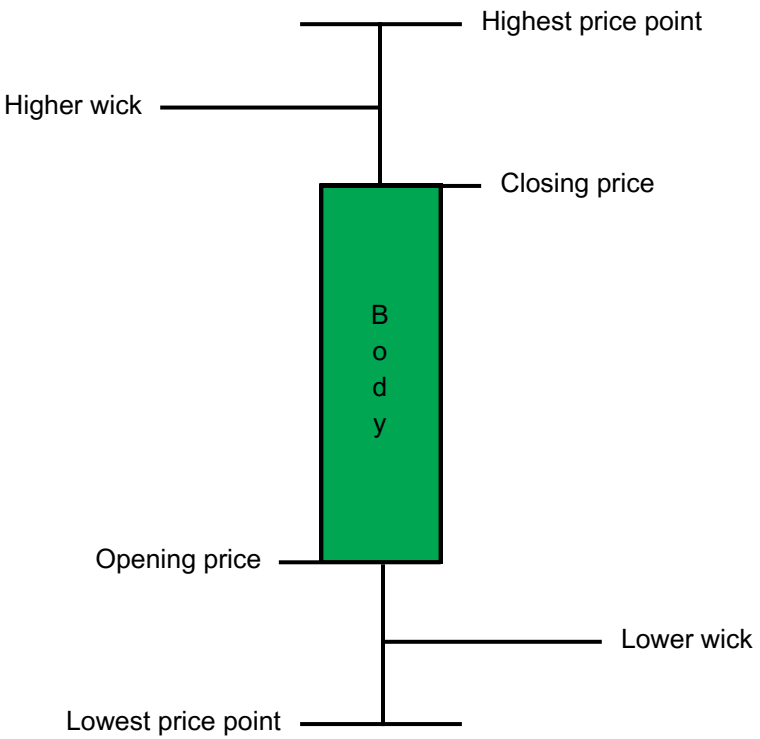


Many traders customize the color of their candlesticks and charts to suit their personal preferences. I prefer my bullish candlesticks to be light blue and bearish candlesticks to be white. For me, this neutral color scheme is visually softer and avoids the psychological impact associated with traditional green and red colors. For the purpose of this book, I will continue to refer to green (bullish) and red (bearish) candles.



To personalize your charts, simply right-click on your TradingView chart, select "Settings," then navigate to "Symbol" and "Canvas" to customize the candlesticks and chart background according to your preference.

How to Read Green (bullish) Candlesticks



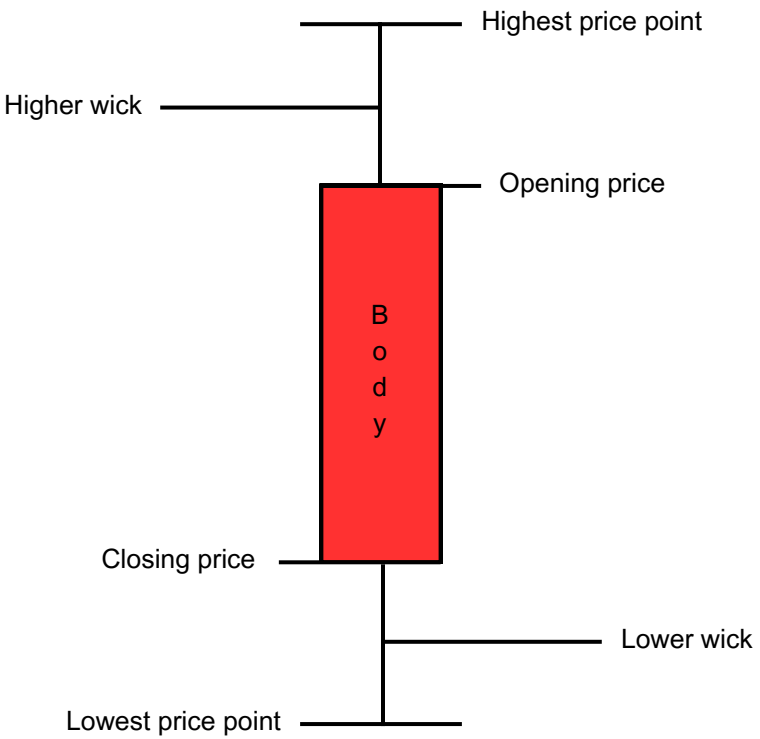
1. Candlesticks indicate buyers and a bullish trend when they close as green.

2. Green candlesticks open from low to high.

3. Green candlesticks can have a wick or no wick, which are the highs and lows of the candlestick.

4. The body is the difference between the open and the close.

How to Read Red (Bearish) Candlesticks



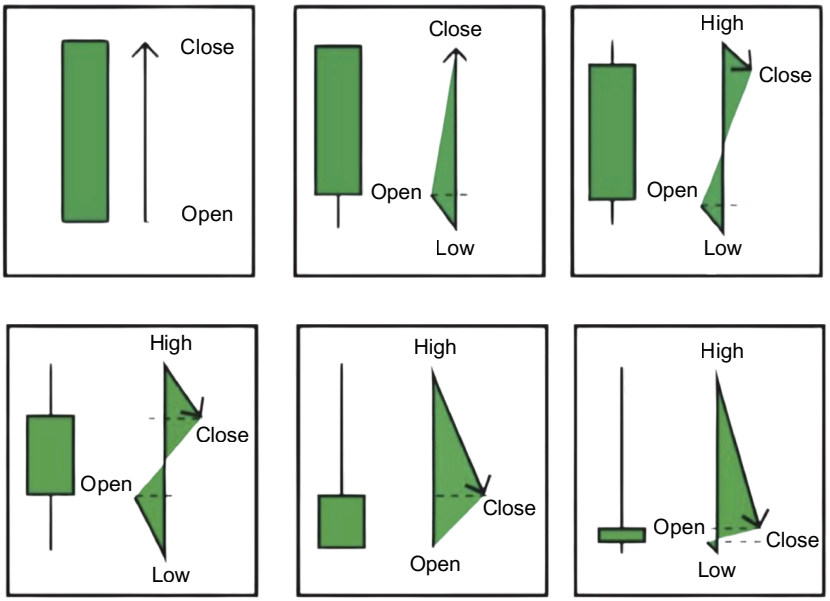
1. Candlesticks indicate sellers and a bearish trend when they close as red.

2. Red candlesticks open from high to low.

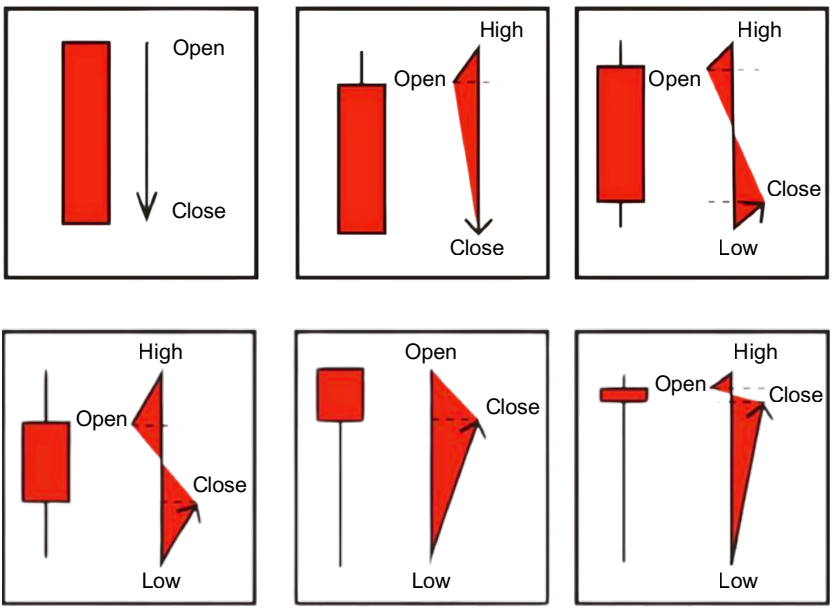
3. Red candlesticks can have a wick or no wick, which are the highs and lows of the candlestick.

4. The body is the difference between the open and the close.

Bullish Candlestick Pathways

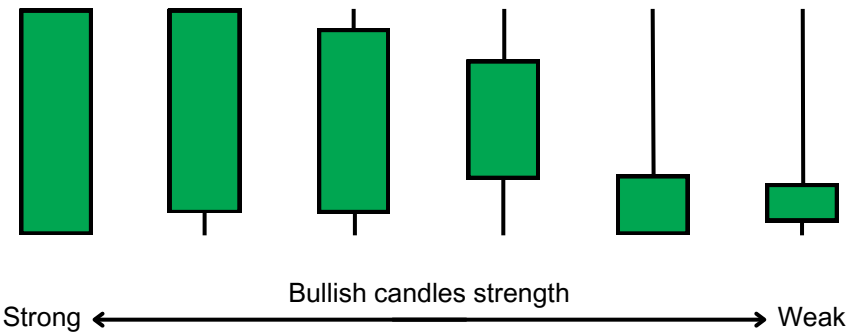


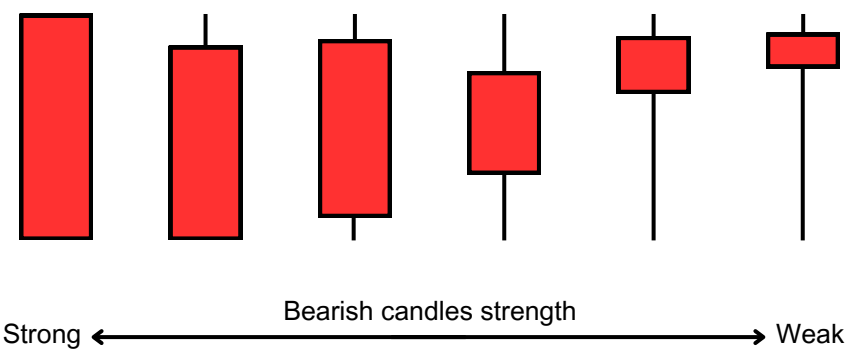
Bearish Candlestick Pathways



Candlestick Strength

From left to right, the size of the candlestick body describes the strength of the price movement. The longer the body, the stronger the impulse. If the candlestick wicks are longer, there is a balance between the sellers and the buyers and the indecision increases.





To help you grasp the concept of candlesticks on the chart, let's follow the price in the chart in chart examples and learn what we are seeing here via the candlesticks.

Example 1

• During the downtrend, the candlesticks are only red (bearish) and long, with very small or no wicks. This indicates strength.

• At the bottom, we see a rejection. This is not yet enough to call a reversal, but on the next candle, we start seeing bullish candles.



Example 2



Above, we see typical market behavior, and we can observe how the candles tell us what is going on:

• Price trends lower on the left with strong bearish candles and no bullish candles in between.

• Then suddenly, the bodies become smaller, and the wicks longer, showing that the momentum is fading.

• Price trades back into previous support, and it now becomes resistance, and we see a small rejection candle.

Example 3



In the third example above, we can see a classic pattern at the end of a trend. This pattern is often one of the building blocks of trading strategies, which you will learn in later chapters.

• During the uptrend, the candles are long and have small wicks only.

• Shortly after, we see long wicks to the downside. This shows that the price tried to push lower, but it did not yet have enough selling pressure.

• The candles become smaller and smaller after the failed sell-off attempt, which indicates that the trend is running out of steam.

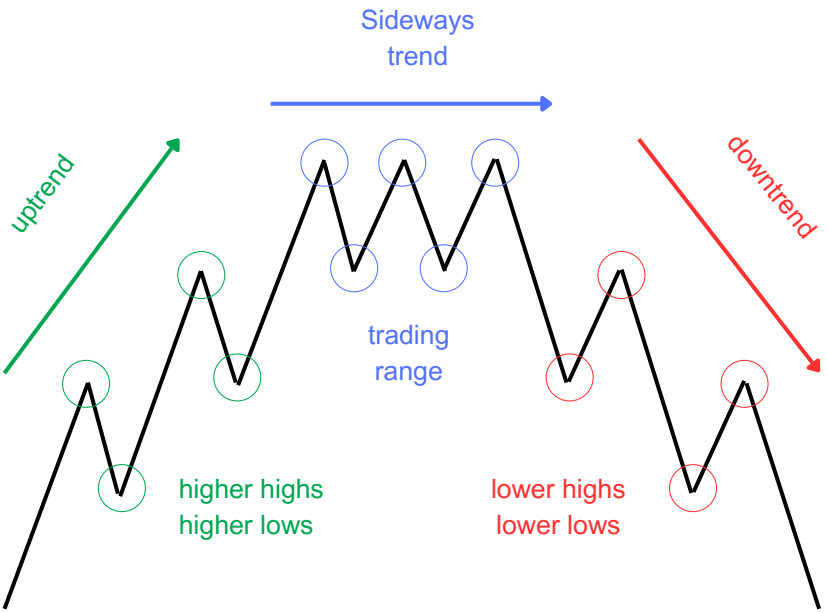
• Suddenly, a strong bearish candle appears, confirming the new downtrend.

Candlesticks are a significant aspect of technical analysis, and there is a wide variety of candlestick patterns to study and learn. Don't be intimidated if it seems complicated at first; with time and practice, reading candlesticks becomes second nature.

I highly recommend watching this beginner's guide to understanding candlestick charts for a visual lesson and a better understanding of candlesticks and candlestick patterns.

Trends

Identifying trends is a fundamental aspect of technical analysis. Trends can be upward (bullish), downward (bearish), or sideways (neutral). Trends are identified by higher highs and higher lows, trading ranges, or lower highs and lower lows (see image below). Trends are often drawn to highlight the direction of price movement and then used to determine our daily bias, which is used to determine whether we look for long (buy) or short (sell) positions.



Trends and trend lines are used to help you understand market structure, which is the behavior, condition, and current flow of the market. Market structure can tell you if the market is trending or not so you can identify potential trade opportunities and make informed decisions based on the market direction.

Uptrend: An uptrend is identified by connecting a series of higher highs and higher lows on the price chart. An uptrend represents an ascending trend where price action generally shows upward movement over time.

Downtrend: A downtrend is identified by connecting a series of lower highs and lower lows on the price chart. A downtrend represents a descending trend where price action is generally showing downward movement over time.

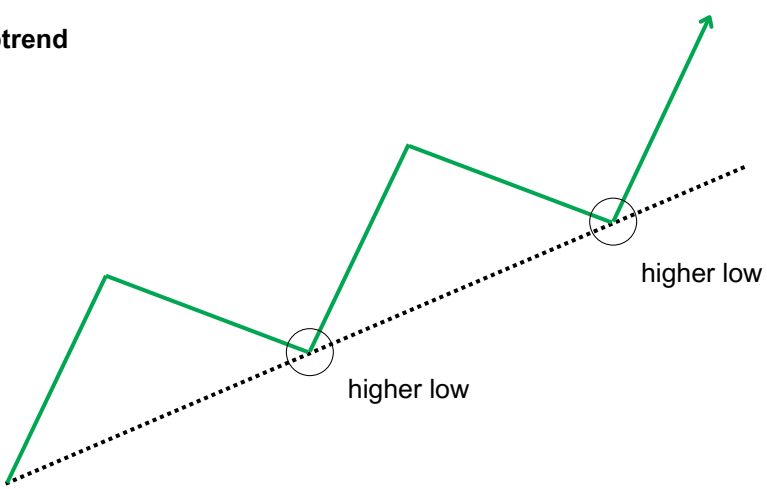
Neutral: A neutral trend, otherwise known as range-bound, is price action that consolidates and moves sideways. In a range-bound trend, price action fluctuates horizontally without a clear ascending or descending direction.

Being able to identify market structure by looking at trends is crucial as it helps traders visualize the direction in which the market is moving. Market structure and trends make it much easier to identify potential trend reversals or areas of support and resistance. The information given from identifying trends is key to helping you better understand the overall market direction, especially when making informed decisions regarding entry and exit points.

How to Use Trend Lines to Identify Market Structure

When drawing trendlines, find two points of higher lows or lower lows and connect them to identify direction. It only takes two points to create a trend, and the more points after, the stronger the trend. Always remember to draw the trend lines from wick to wick, and not through the body of a candlestick.

Uptrend

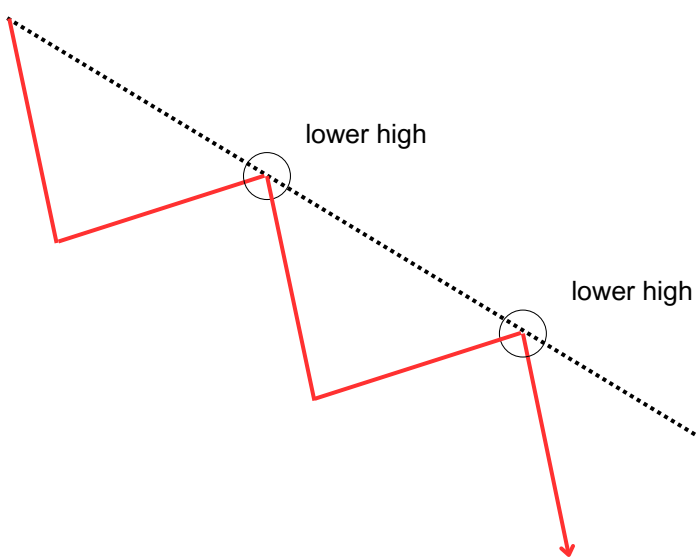


Real Chart Example (Uptrend)



In this example, you can see that price action is trending upward (uptrend) and the trend line acts as a lower support.

Downtrend

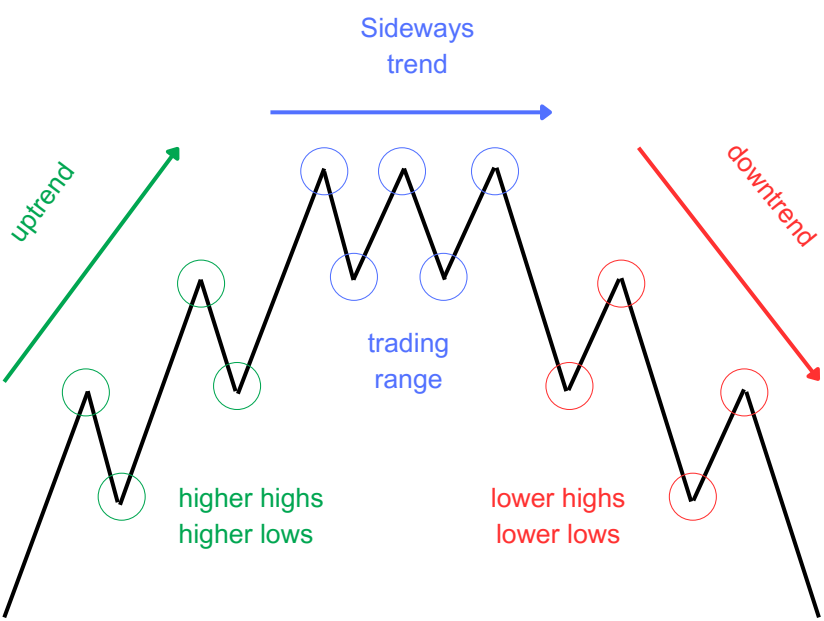


Real Chart Example (Downtrend)



In this example, you can see that price action is trending downward (downtrend), and the trend line acts as an upper resistance. These trends are used to identify market structure. Here's the breakdown:

- A sequence of higher highs and higher lows is an uptrend.
- A sequence of lower highs and lower lows is a downtrend.
- A sequence of equal highs and lows is a range-bound trend.



Real Chart Example (Bullish Market Structure)



In this example, a series of higher highs and lower lows is an uptrend and represents bullish price action. In this scenario, you may enter a long position (buy) at a higher low and close at a higher high.

Real Chart Example (Bearish Market Structure)



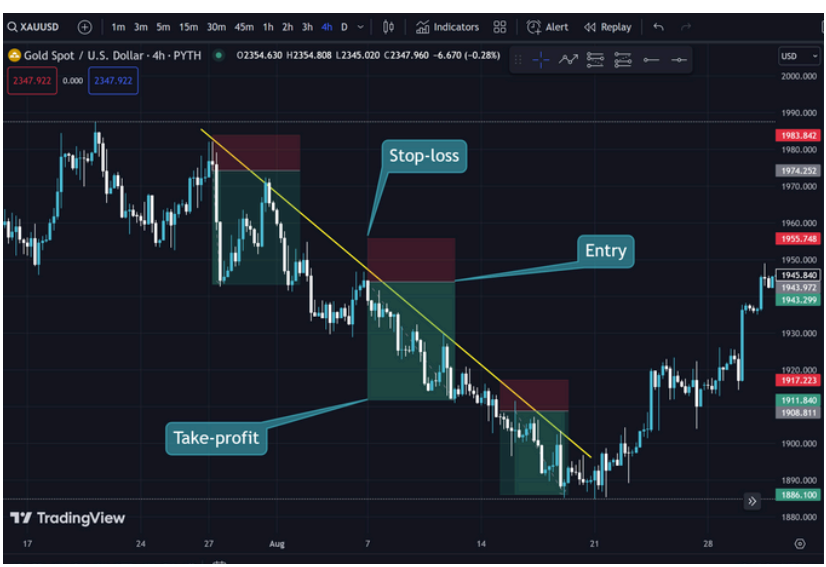
In this example, a series of lower highs and lower lows is a downtrend and represents bearish price action. In this scenario, you may open a short position (sell) at a lower high and close at a lower low.

Real Chart Example (Neutral Range-Bound Market Structure)



In this example, a series of equal highs and lows is a natural range-bound market, which is also known as consolidation.

In the beginning, I suggest that you do not attempt to trade range-bound price action as buying and selling pressure are equal. As traders, we want to trade in a specific direction (as seen below) and not get caught in consolidating ranges. Please watch this market structure simplified video to grasp the concept of trends and market structure.



Support and Resistance

Support and resistance are two key concepts in technical analysis. Understanding what these terms mean and their practical application is essential to correctly reading price charts.

Support levels are price levels at which the price tends to stop falling, while resistance levels are price levels at which the price tends to stop rising. These levels are determined by historical price data and play a crucial role in making trading decisions such as spotting possible reversals, trend continuation, identifying entry points, and determining stop-loss and take-profit positions.

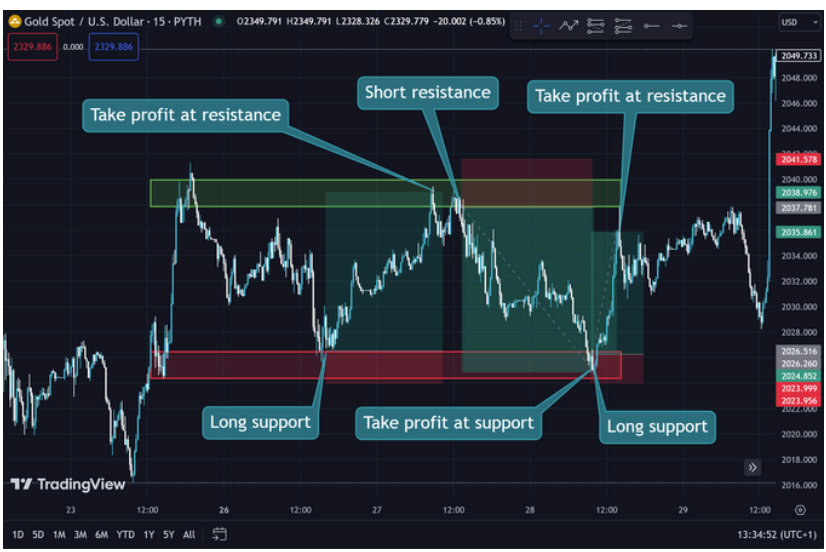


In a downtrend, prices fall because there is an excess of supply over demand. The lower prices go, the more attractive prices become to those waiting on the sidelines to buy the asset or trading pair. At some level, demand that would have been slowly increasing will rise to the level where it matches supply. At this point, prices will stop falling. This is support.

Support can be a price level on the chart or a price zone. In any event, support is an area on a price chart that shows buyers' willingness to buy. It is at this level that demand will usually overwhelm supply, causing the price decline to halt and reverse.

On the other hand, resistance is the opposite of support. Prices move up because there is more demand than supply. As the prices move higher, there will come a point when selling will overwhelm the desire to buy. This happens for a variety of reasons. It could be that traders have determined that prices are too high or have met their target. It could be the reluctance of buyers to initiate new positions at such rich valuations. It could be for any other number of reasons. But a trader will clearly see on a price chart a level at which supply begins to overwhelm demand. This is resistance. Like support, it can be a level or a zone.

Once an area or zone of support or resistance has been identified, those price levels can serve as potential entry or exit points because, as the price reaches a point of previous support or resistance, it will do one of two things: bounce back away from the support or resistance level, or violate the price level and continue in its prior direction, until it hits the next support or resistance level.



Support and resistance can be found in all charting time frames: daily, weekly, and monthly, and can be a key part of your trading strategy. Please watch this video on mastering a support and resistance strategy to deepen your understanding.

Supply and Demand Zones

Supply and demand zones are a popular analysis technique used in day trading. The zones are the periods of sideways price action that come before explosive price moves and are typically marked out using a rectangle tool on the chart. Supply and demand zones are similar to support and resistance, but the main difference is that support and resistance are levels or lines in which prices were already determined, while supply and demand are fresh levels or zones in which prices are not determined.

• A supply zone forms before a downtrend
• A demand zone forms before an uptrend



When trading financial markets using supply and demand trading, understanding the core principles is crucial. One such principle involves the formation of supply and demand zones, which are indicative of incoming market trends.

A supply zone is established when the market is poised for a downtrend, meaning there's an excess of the trading asset available and prices are set to decrease. This is where you would look to take a short position in anticipation that the value of the trading asset will decrease.

Conversely, a demand zone forms when the market is on the brink of an uptrend, indicating that there's a heightened interest or demand and prices are likely to rise. This is where you would look to take a long position in anticipation that the value of the trading asset will increase.

Identifying these zones is essential for traders who want to predict and benefit from future market shifts. Supply and Demand trading strategies use price returning to these zones as entry and exit criteria. The strategy is market-neutral, meaning it can be traded in all financial markets.



Understanding supply and demand dynamics is crucial as it helps you to identify potential entry and exit points in the market. By analyzing changes in supply and demand levels, you can make informed decisions about buying or selling assets, thereby maximizing their chances of profitability.

To further educate yourself on supply and demand zones, I suggest watching this in-depth guide on supply and demand in trading.

Indicators and Oscillators

Technical indicators and oscillators are formulas added to current and historic prices in mathematical equations to plot lines and histograms on your chart. The purpose of indicators is to simplify what price is doing and eliminate noise. They also play a role in trading strategies to promote consistency by helping us identify market conditions, spot trends, identify areas of value, and determine entry points, stop-losses, and take-profit targets.

There are thousands of indicators out there, and you need to discover and find if there are any that suit your strategy. A few technical indicators and oscillators that I like are moving averages, Relative Strength Index (RSI), Moving Average Convergence Divergence (MACD), and stochastic oscillators as they identify overbought or oversold conditions and generate buy or sell signals. You can find “indicators” next to the time-frame options on TradingView.

Relative Strength Index: The relative strength index (RSI) measures the speed and magnitude of an asset's recent price changes to evaluate overvalued or undervalued conditions in the price of that trading pair or asset class.



Moving Average Convergence Divergence: Moving average convergence (MACD) is a technical indicator to help traders identify price trends, measure trend momentum, and identify market entry points for buying or selling.



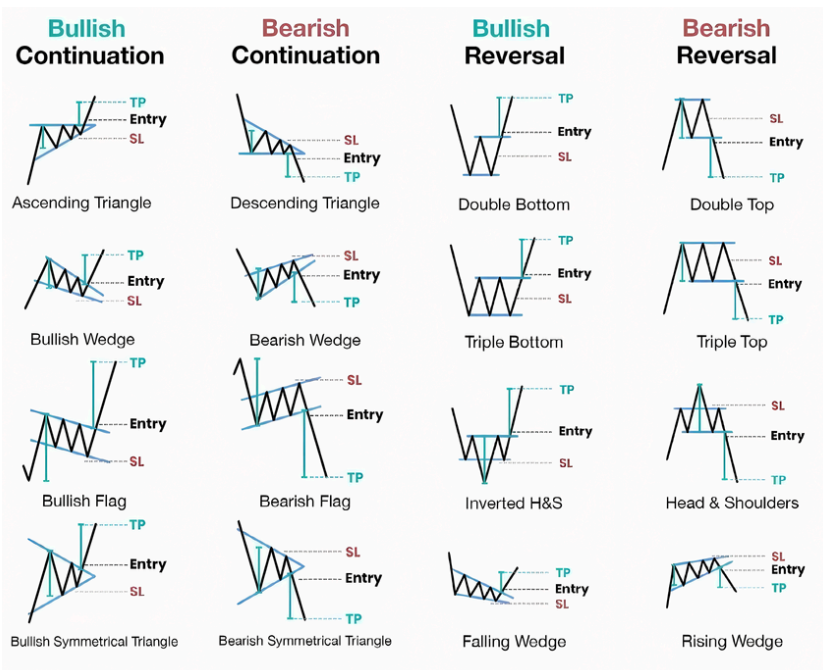


Stochastic Oscillator: A stochastic oscillator is a momentum indicator comparing a particular closing price of a trading asset to a range of its prices over a certain period of time. The sensitivity of the oscillator to market movements is reducible by adjusting that time period or by taking a moving average of the result. It is used to generate overbought and oversold trading signals, using a 0–100 bounded range of values.

Please watch this video about 10 trading indicators to better understand indicators and how to use them.

Chart Patterns

A chart pattern is a shape within a price chart that helps to suggest what prices might do next, based on what they have done in the past. Chart patterns come as visual formations on the price charts that signal potential price movement. Traders use chart patterns to make informed predictions about future price changes and trading decisions.



Some popular chart patterns to predict potential price movements are head and shoulders, double tops and bottoms, triangles, wedges, flags, pennants, and triangles. These patterns are believed to indicate trend reversals or continuations.

Chart patterns can be important for a variety of reasons:

- Price prediction and forecasting
- Trend identification (bullish, bearish, or sideways)
- Identify and pinpoint entry and exit points
- Aid with risk management
- Assist in confirming other technical analysis tools

There are too many chart patterns to cover here, so please watch and study this chart patterns trading course to help you learn and better understand the function of chart patterns.

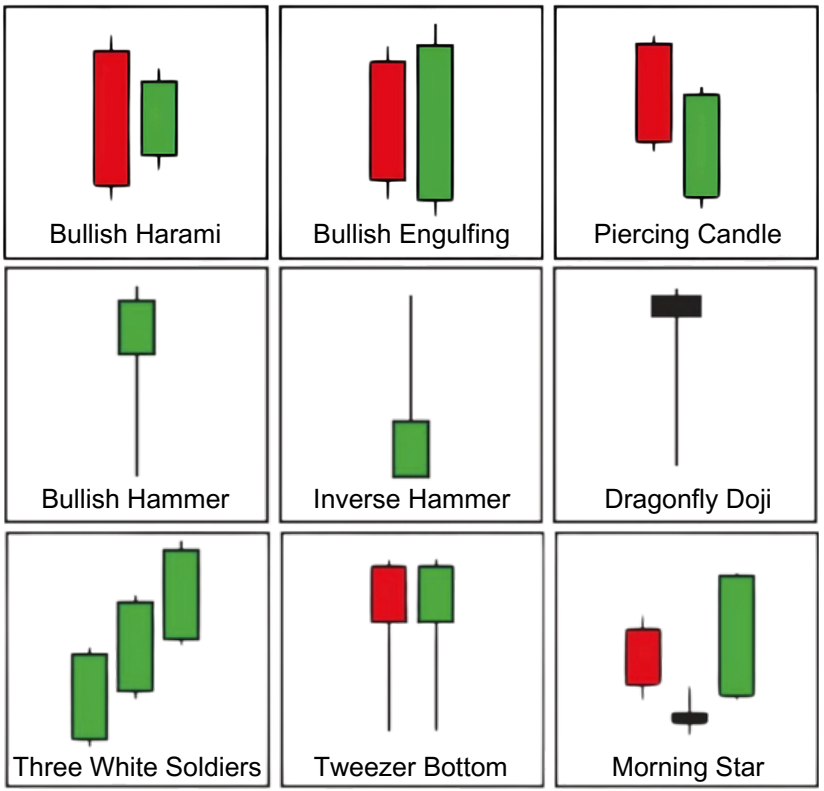
Candlestick Patterns

Candlestick patterns are used by many traders as an indication of market sentiment and price direction, and have become a popular way for traders to view the markets because of how their patterns differ from other types of charts.

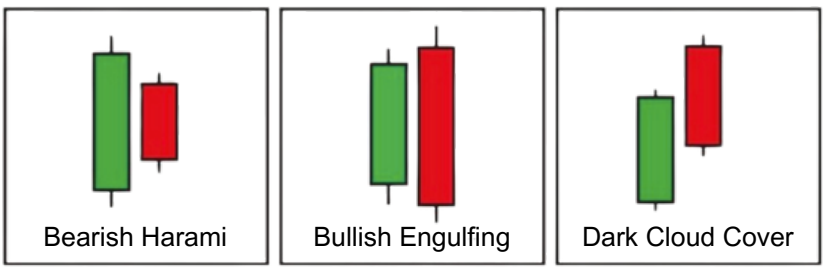
A candlestick pattern is a movement in prices shown graphically on a candlestick chart that analysts believe can predict a particular market movement. The recognition of the pattern is subjective, and programs that are used for charting have to rely on predefined rules to match the pattern.

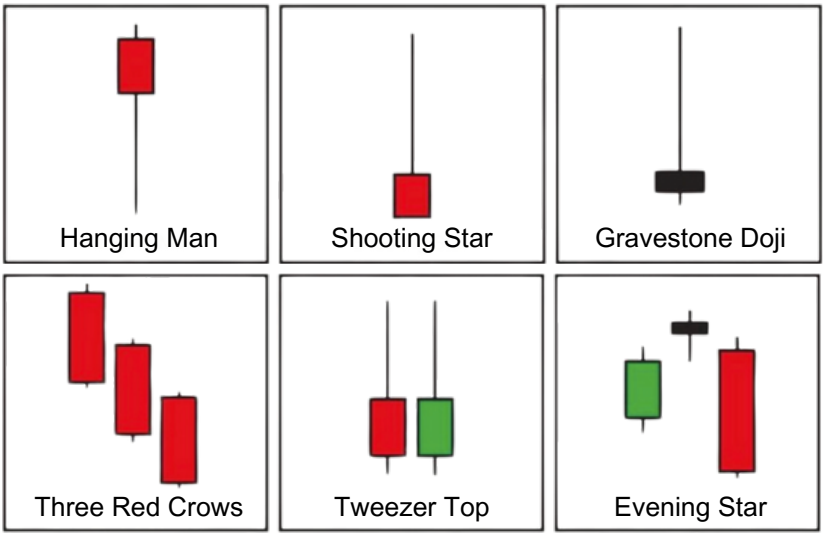
In addition to the candlestick partners on the following page, please refer to Google and search “candlestick patterns cheat sheet” to see and learn to recognize a range of candlesticks and patterns and understand their implications. Print out a cheat sheet and place it somewhere visible at your trading station for regular and convenient review. Additionally, watch this guide on candlestick patterns to learn how to recognize and utilize candlestick patterns.

Bullish Candlesticks



Bearish Candlesticks





Volume Analysis

Volume analysis in trading refers to the examination of trading volume, which represents the number of shares, contracts, or units of a trading asset that are traded during a given period of time. It is a crucial component of technical analysis, and provides valuable insights into market dynamics and the strength of price movements.



Traders analyze volume to confirm price movements, identify price reversals, spot breakouts, confirm patterns, and assess overall market sentiment.

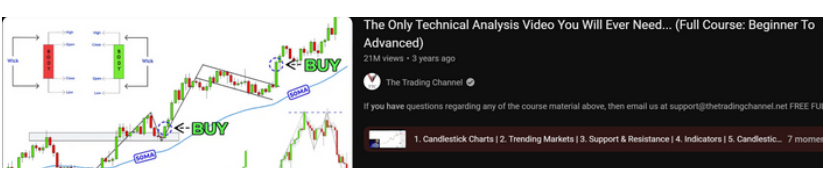
Volume analysis is one of the many tools in your toolkit that can inform your trading decisions. By analyzing trends in volume in conjunction with price movements, you can determine the significance of changes in an asset's price to position yourself long or short a trade. Watch this short guide on volume analysis for in-depth education to grasp the concept.

There are many more advanced technical analysis tools and concepts to consider such as Fibonacci Retracements, Elliot Wave Theory, Fair Value Gaps, Order Blocks, and Smart Money Concepts (which we will cover in Chapter 11). However, the core concepts outlined above are plenty to get you started on your trading journey. As you progress through your trading journey, you'll become further educated and confident enough to implement more tools and strategies. For now, focus on mastering the basics and taking your first trade.

Technical analysis is widely used in all financial markets, so its importance cannot be overstated. However, some traders argue that technical analysis may be subjective and lack a theoretical basis, but proponents believe it provides valuable insights into market sentiment and trends.

The only way to discover whether technical analysis is a strategy that works for you is to give it a go. I would never trade without conducting a thorough technical analysis, as it would leave you trading blindly. Please remember that it takes time to develop technical analysis abilities, so be patient with yourself.

This is a great free course on technical analysis to give you a broad visual overview of everything you've learned so far in this chapter.



While some traders rely solely on technical analysis, others use it in conjunction with fundamental analysis for a more comprehensive approach to decision-making.

What is Fundamental Analysis?

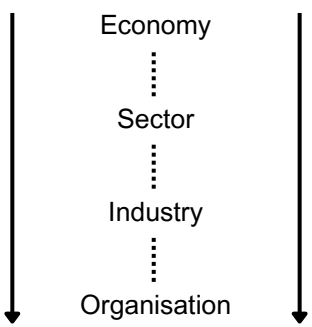
If you've never heard of this before, fundamental analysis is a deep dive into all the information available about a trading asset. It uses a mix of quantitative financial metrics, qualitative measures, and social and news factors. Ultimately, fundamental analysis aims to determine an asset's intrinsic price, making it a crucial aspect for all aspiring traders and investors to understand.

Quantitative: Information that can be shown using numbers, figures, ratios, or formulas.

Qualitative: Rather than a quantity of something, it is its quality, standard, or nature.

Fundamental analysis is usually conducted from a macro-to-micro (economic analysis > industry analysis > company analysis) perspective to identify assets that are not correctly priced by the market. Traders typically study, in order:

- The overall state of the economy
- The strength of the specific industry
- The financial performance of the organization issuing the asset
- This ensures they arrive at a fair market value for the asset



Here are the key elements of fundamental analysis that you must understand:

Economic Indicators: Understanding economic data such as GDP growth, employment figures, and inflation rates to gauge the overall health of an economy. Watch this quick 1-minute video explaining what economic indicators are if you're unsure.

Company Financials: If in the stock market, analyze financial statements, earnings reports, and corporate governance to assess the financial health of a company.

Global Events: Considering geopolitical events, economic policies, and news that may impact financial markets and price action. Use Forex Factory for forex-market information and news and Crypto Craft for crypto-market information and news.

Team, Investors, and Advisors: Evaluate the experience and expertise of the team or organization behind the asset. Do they have a proven track record in the industry? Additionally, check if the organization has any reputable advisors who can provide guidance and support.

Fundamental analysis is particularly relevant for long-term investors and can help in identifying value investments and understanding broader market trends. It is less important in short-term trading as trading is based on price action rather than fundamentals.

Fundamental Analysis Example (Bitcoin)

To help you better grasp this concept, here's a brief top-down fundamental analysis of Bitcoin. In conducting a top-down fundamental analysis of Bitcoin, we begin by examining the broader macroeconomic landscape and its impact on the cryptocurrency market. Bitcoin's value is influenced by various factors spanning macroeconomic trends, industry dynamics, market sentiment, regulatory considerations, and specific events.

At the macroeconomic level, Bitcoin is often regarded as a hedge against inflation and fiat currency devaluation. During periods of economic uncertainty or when central banks implement expansionary monetary policies (printing more money to supply the economy), traders and investors flock to Bitcoin as a store of value. Geopolitical tensions and political instability also drive demand for Bitcoin as investors seek alternative assets outside traditional financial systems.

Industry dynamics play a crucial role in shaping Bitcoin's value proposition. Adoption and acceptance are key metrics to monitor, including the number of merchants accepting Bitcoin, transaction volumes, and network activity. Institutional participation, through investment vehicles like Bitcoin ETFs and corporate treasuries, significantly influences market liquidity, price stability, and mainstream acceptance. Technological advancements in blockchain technology, scalability solutions, and security protocols also enhance Bitcoin's utility and network robustness.

Market sentiment is another essential aspect to consider. Social media activity, sentiment analysis, and online discussions provide insights into public perception and potential market movements. Google Trends data and sentiment analysis tools help gauge investor sentiment and sentiment shifts.

The regulatory environment plays a significant role in shaping Bitcoin's regulatory landscape. Government policies, tax treatment, and legal frameworks governing cryptocurrencies impact investor confidence, market liquidity, and institutional participation. Compliance with anti-money laundering (AML) and know-your-customer (KYC) regulations is crucial for Bitcoin exchanges and service providers, influencing market accessibility and investor trust.

Specific events such as Bitcoin halving events, which reduce block rewards by half approximately every four years, contribute to its scarcity narrative and long-term value proposition. Major market movements, including bull or bear markets, speculative bubbles, and market corrections, reflect investor sentiment, market dynamics, and broader economic conditions.

By analyzing these top-down factors comprehensively, you can develop a holistic understanding of Bitcoin's fundamental drivers and make informed decisions about trading and investment strategies, and long-term prospects in the market.

You see? This deep dive into Bitcoin allows us to understand what drives Bitcoin's intrinsic price. Of course, Bitcoin is already very well established and highly valuable for the reasons outlined above. However, if you're an investor looking to find early gems, having the skillset to fundamentally analyze the asset of interest is a key skill to have.

Combining Strategies for a Holistic Approach

While fundamental analysis evaluates the intrinsic value of an asset based on its fundamental characteristics and long-term prospects, technical analysis analyzes past price and volume data to forecast future price movements and identify short-term trading opportunities. Both approaches have their strengths and weaknesses, and you may use a combination of both methods to make informed decisions while trading.

A holistic trading approach often involves combining elements of both technical and fundamental analysis to form a well-rounded strategy. By leveraging the strengths of each approach, you gain a more comprehensive view of the market.

As you develop a trading strategy that combines technical and fundamental analysis, you create a more resilient and adaptable approach to the complexities of trading. Technical analysis is a skill that must be honed over time, and it can take a while, so be patient with yourself. Regularly review and actively work on your skills, and strategy to align with your market understanding and personal trading progress. Stick to it and it will become second nature before you know it.

Chapter 5 Action Points

Understand Technical Analysis: Take the time to thoroughly understand and practice technical analysis, including concepts such as price charts, time frames, candlestick patterns, trends, support and resistance, supply and demand zones, indicators and oscillators, chart patterns, and volume analysis. Familiarize yourself with these elements through the YouTube videos provided in this Chapter. Additionally, practice your technical analysis on charting platforms such as TradingView.

Experiment with Indicators: Experiment with different technical indicators and oscillators to see which ones align with your trading style and strategy. Some popular indicators that I like include moving averages, Relative Strength Index (RSI), Moving Average Convergence Divergence (MACD), and stochastic oscillators. Understand how each indicator works and how to interpret its signals.

Learn Fundamental Analysis: Familiarize yourself with fundamental analysis techniques, including analyzing economic indicators, company financials, global events, and team expertise. Understand how fundamental analysis complements technical analysis and consider integrating both approaches into your trading strategy for a more holistic view of the market. If you're into crypto, choose a crypto coin such as Solana and conduct a thorough fundamental analysis.

Practice, Practice, Practice: The key to mastering technical and fundamental analysis is consistent practice. Spend time analyzing price charts, studying market trends, and refining your trading skillset. Keep a trading journal to track your progress and learn from your successes and mistakes. Remember, it takes time, so don't rush!

Chapter 6
Mastering the Art of Risk Management

In the volatile world of trading, effective risk management stands as the most crucial aspect of a successful and sustainable strategy. Without proper risk management, the potential to lose everything in a single blow looms large. For perspective, an average trader who manages risk can be far more successful than a great trader who doesn't manage risk. That being said, there's no such thing as a great trader who doesn't manage risk.

I often ask the most successful traders in my network for trading tips to share with my trading community. One of the best pieces of trading advice that I've received is:

"It's not whether you're right or wrong that's important, but how much money you make when you're right and how much you lose when you're wrong. Master risk management and master trading."

Let that sink in for a moment.

So, what is risk and risk management? Risk is defined as the likelihood that a loss will occur and risk management is the process used to mitigate or protect your personal trading account from the danger of losing your total balance. In short, risk management is a method to control risk exposure when trading.

We can think of risk management as the foundation of a house. When you build a house, you first start with the foundation layers and only then start building the walls, roof, and everything else. Therefore, it makes sense that risk management is the foundation of a successful trading plan. At the end of the day, it does not matter how good your analysis is if you can't manage your risk. You need to be able to stand the test of time; otherwise, you will not make it in trading.

Planning your risk will help you maintain consistency when trading the markets.

Becoming a consistently profitable trader is one of the biggest hurdles that you need to conquer, and it can only be done right from day one if you plan your risk exposure. At the PlayBit, we teach how to manage risk, trade, and generate wealth sustainably in the safest manner and the right way, rather than gambling in hopes of getting rich quickly.

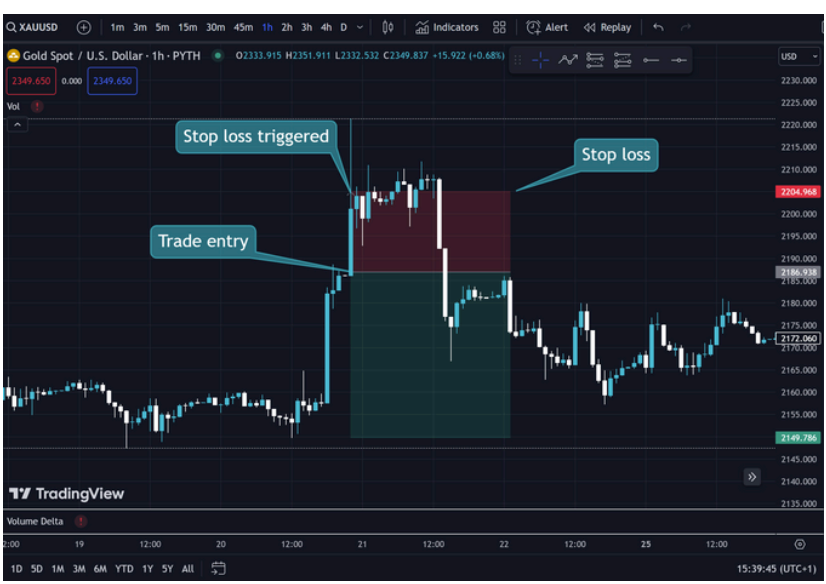
The 4 Layers of Risk Management

- Stop-loss and take-profit orders
- Risk Planning
- Trading Risk Reward ratio
- Position Sizing

Let's explore them individually.

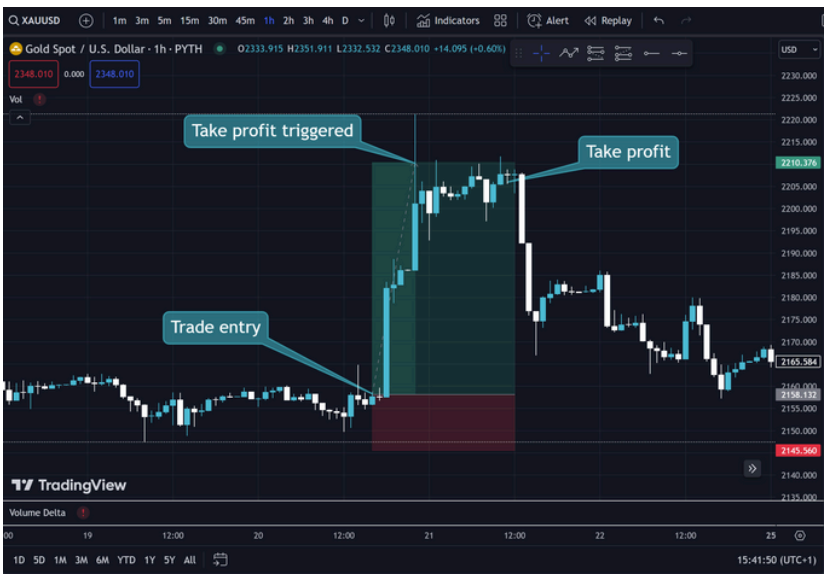
Both stop loss and take profit orders are essential components of a trader's risk management strategy, helping to protect capital and manage emotions during trading.

A stop-loss (SL) order is an order to close your position automatically if it falls or rises below/above a certain price. This can help to limit your losses if the market moves against you.



A SL should not be considered as an amount to lose in a trade, but rather a point where you accept that you are wrong and need to adjust your bias.

Take-profit (TP) orders are specific instructions set to automatically sell an asset position when its price reaches a predetermined level, enabling you to lock in profits and secure the win. When it comes to TP orders, you should always have a fixed, predefined plan that you never deviate from.



One other option is to use a trailing stop-loss order. A trailing stop-loss order will automatically move your stop-loss order up as the price of the asset increases, which can help to secure your profits. More explanations of these orders are given in Chapter 12.

When setting SL and TP levels, we want to consider a good risk-to-reward ratio for the position.

Risk-to-Reward Ratio = (Potential Profit) / (Potential Loss).

Risk-Reward Ratio (RR) is a simple concept in trading that helps you assess the potential gain versus potential loss in a trade. More on this in a moment.

Risk Planning

When planning your risk, you need to be able to answer one simple question: How much are you willing to risk per trade?

The answer to this question is a personal preference, and it comes down to your risk tolerance. However, professional fund managers recommend NOT RISKING MORE THAN 2% on any particular trading idea.

How to Determine the Risk-Dollar Amount:

Risk Amount = Account size x %Risk

For example, if your account balance is $10,000 and your risk tolerance is 2%, your risk amount is $200 per trade.

Example Risk Amount = $10,000 x 2% = $200

By calculating the risk-dollar amount, we can learn how much we're going to lose if the trade goes against us. In this particular case, the maximum loss would be $200.

Knowing this information before each trade will help you strategically build your account balance over time.

Trading Risk Reward Ratio (R:R)

As mentioned above, Risk-Reward Ratio (RR) is a simple concept in trading that helps you assess the potential gain versus potential loss in a trade.

How do we measure the R:R ratio? The risk is simply defined as the price distance between your entry and your stop loss. The reward is simply defined as the price distance between your entry and your take profit.

Here’s an easier way to view it:

Risk: This is the amount you are willing to lose if the trade doesn't go as planned.

Reward: This is the profit you're aiming to make.

In essence, to calculate the risk-reward ratio, you only need three components:

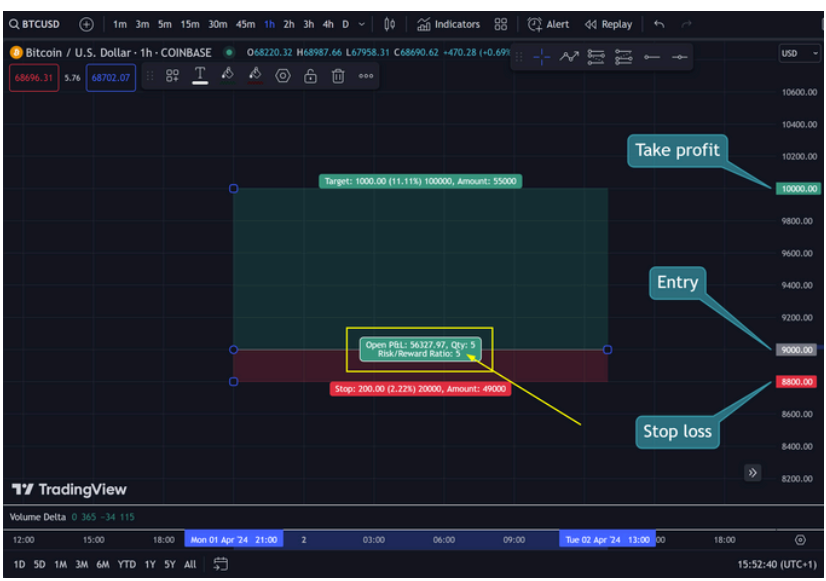
• Entry Price
• Stop Loss
• Take Profit

R:R (Risk Reward Ratio) = Total Risk / Total Reward

To help you better understand, here’s an example.

A Long Trade Position (Example):

Entry: 9000
Target: 10000
Stop loss: 8800



Risk on position: (9000-8800) / 9000 = 2.2%

R:R: (9000-8800) / (10000-9000) = 1:5

In simpler terms, let's say you're comfortable risking $100 on a trade (potential loss), and you aim to make $500 in profit (potential gain). If your potential loss (Risk) is $100, and your potential profit (Reward) is $500, then your Risk-Reward Ratio is 1:5.

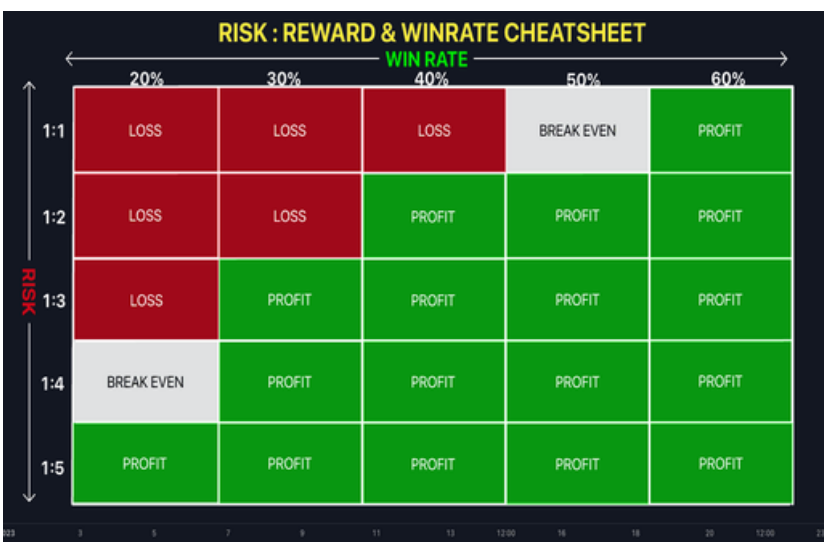
This means for every $1 you're risking, you're aiming to make $5 in profit. It's a way of ensuring that your potential rewards exceed your potential losses, helping you achieve more successful trades over the long run. Risk to reward is crucial in trading as it removes emotion and provides structure. Watch this quick one-minute risk-to-reward explainer if you need a video explanation.

Important Note

• 1:3 RR means you need a 25% win rate to break even

• 1:2 RR means you need a 33% win rate to break even

• 1:1 RR means you need a 50% win rate to break even



In PlayBit, we aim for at least a 1:2 ratio for our ideal trade setups. This means that even if we lose a few trades, we only need to win one to make up for the losses. This strategy ensures that we trade in favor of winning.

Position Sizing

Position sizing is a critical risk management strategy that involves determining the amount of an asset to buy or sell in a trade. It directly influences the level of risk and potential reward in a given trade or investment.

The importance of position sizing lies in its ability to help traders manage risk and protect their capital, as capital preservation is paramount. Margin, on the other hand, is the amount of money that a broker or exchange lends to a trader to open or maintain a position in an asset.

While margin allows traders to control more of the market with less capital, it also magnifies both profits and losses.

Key Differences Between Margin and Position Sizing

Purpose: Margin is used to increase trading power, while position sizing is used to manage risk.

Impact on Profits and Losses: Margin magnifies both profits and losses, while position sizing limits potential losses.

Relationship to Capital: Margin is borrowed money, while position sizing is based on the trader's capital.

Position Size Calculation

Let's consider a scenario where we have a $10,000 account and set a pre-defined risk of 2% per trade. If we enter a long position on Bitcoin (BTC) at $38,000, with a 2.5% stop loss set at $37,050 and a take profit at $40,850, this trade presents a 1:3 risk-reward ratio with a 2.5% stop loss for a 7.5% potential gain.



When we input these details into a position size calculator, it presents us with our position size for the trade, simplifying the process. In this instance, our position size is $7,900. It's important to note that this calculation is done before using leverage on the trade.

If leverage is applied, let's say we use a 5x leverage, then the actual amount required for the trade becomes $7,900 divided by 5, which equals $1,580.

It's essential to realize that leverage acts as a multiplier, reducing the margin needed to meet the position size. However, leverage is a tool that can amplify both gains and losses, so it should be used with caution.

Putting it All Together (Example)

Account size: $10,000
Entry Price: $38,000
Stop Loss: $37,050
Take Profit: $40,958
Risk to reward: 1:3
Position size: $7,900

Now let's assume 5x leverage is applied to the trade. Therefore, the margin for the trade is $1,580.

If we lose the trade, the SL order gets triggered, and we will lose 2.5% x 5 = 12.5% of our position. Therefore, the total loss is $197.5, which is approximately 2% of the total account.

If we win the trade, the TP order gets hit, and we will gain 7.5% x 5 = 37.5%. Therefore, the total profit is $592.5, which is approximately a gain of 6% on the account.

In essence, this trade risks a potential $200 loss to gain a potential $600 win, hence the 1:3 RR.

In this example, we are only risking 2% of our account. This means you can lose 50 trades at 2% before blowing up the full account. It is about being profitable over time rather than trying to find quick gains. You need to give yourself time as a trader to find your edge.

To help you calculate everything, use these position size calculators.

Crypto calculator: click here!

Forex calculator: click here!

Golden Rules of Risk Management

Please pay extra attention to these. If you can manage risk well, you increase your chances of becoming a successful trader tenfold. So, treat these like your trading commandments!

• Going all in is never a good idea, especially without a stop loss! Putting 100% on one asset means taking on 100% risk.

• Loyalty to profits, not to coins, assets, or trading pairs!

• Knowing when to get out is just as important as knowing when to get in, even for long-term holders.

• Never invest more than you can afford to lose. How would you feel if your entire account disappeared tomorrow? Would your life be okay, or would you suddenly find yourself unable to pay for rent, food, and bills? Never put yourself in that position.

• If you experience three consecutive losses in a day, step away and stop trading. You do not want to compound your losses.

• Avoid losing 6% of your equity in a week.

• Avoid going into a 10% drawdown below your starting balance. If you drop 10% below your starting balance, you need to stop live trading and go back to a demo account to refine your strategy.

How to Apply Risk Management on TradingView

Step 1: Open an account on TradingView and select "Projection."



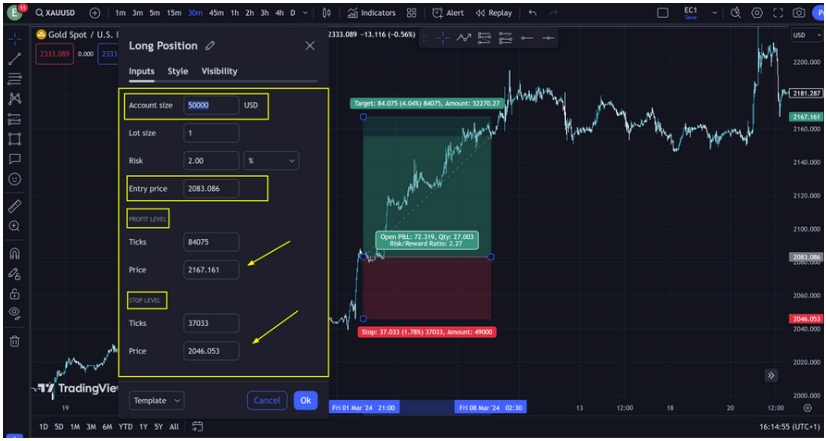
Step 2: Select the "Long" or "Short" position tool depending on your trade idea.



Step 3: Select "Settings" to fill in the inputs.



Step 4: Input your account size and the amount you want to risk in one trade as a percentage of your portfolio.



Step 5: Place this tool on the chart where you want to take a trade and it will display all the trade details.



For a visual explanation and educational guidance on risk management, please watch this risk management crash course.

The final and most crucial step in risk management is being able to control and navigate your trading emotions, which we'll cover next. Emotions such as FOMO, fear, and greed can cloud judgment and lead to poor decision-making. To help yourself, you need a trading plan and risk management rules, even when emotions run high. All of which is provided in this book.

Chapter 6 Action Points

Define Your Risk Tolerance: Assess your risk tolerance and determine the maximum percentage of your trading account you are willing to risk per trade. Consider professional recommendations, like not risking more than 2% on any particular trading idea.

Understand Risk Management Fundamentals: Familiarize yourself with the fundamentals of risk management and risk-to-reward, including defining risk, understanding its importance, and recognizing its role as the foundation of a successful trading plan.

Stop-loss and Take-profit Orders: Start practicing mapping out and using stop-loss and take-profit orders in both long and short positions in your analysis on TradingView to limit potential losses and lock in profits at predetermined levels.

Calculate Risk Reward Ratio (R:R): Learn to calculate the risk-reward ratio for each trade to ensure that potential gains outweigh potential losses. Aim for a favorable R:R ratio, such as 1:3 or 1:4.

Chapter 7
Navigating Trading Emotion

Trading encompasses more than just numbers and charts; it requires a deep understanding of the human elements and emotions that influence price action. Have you ever come across terms like "FOMO" (Fear of Missing Out) and "greed"? These encapsulate the sentiment-driving emotions that we often see in the trading industry.

Your mental state has a significant impact on the decisions you make, particularly if you are new to trading, and keeping a calm demeanor is important for progress. Learning to navigate these emotions often becomes the deciding factor in whether you succeed or fail as a trader. To excel in the trading 'game', it's imperative not to succumb to emotions when entering and exiting trades. Therefore, mastering emotional management is crucial.

Use this chapter to gain insights into the psychological traps to avoid and understand how to make well-informed, rational decisions while trading.

Emotional Aspects in Trading

If this concept is new to you, let's start with the basics to help you understand. If you've traded before, then you're aware that it's a highly emotional and psychologically taxing process. By ‘emotional,’ I don’t mean it makes you want to cry. I'm referring to the unsolicited emotions that hinder logical decision-making when entering and exiting trade positions.

As you see the red stacking up on your losing position, emotions begin to take over - this is the ‘Fight or Flight’ instinct. This impulse can often prevent you from accomplishing your goals, and for traders, this issue can be very problematic, leading to rash and impulsive decision-making.

Succumbing to these emotions may seem appropriate in the moment, but more often than not, they determine whether you succeed or fail.

If you're unsure, here's an example. Imagine entering at the red square on the chart below and riding the upward price action, which would likely evoke feelings of greed (not wanting to sell).



Alternatively, checking the charts and witnessing upward price action might instill a sense of FOMO at the blue square (wanting to buy). Yielding to this FOMO might prompt you to buy in. Unfortunately, entering the position due to FOMO or not selling due to greed would likely result in a losing trade or holding a depreciating asset.

The lessons here revolve around two fundamental trading principles:

- Take profits aggressively according to your strategy
- Never trade with emotions

The first point is self-explanatory, though it's not as simple as it sounds, especially when greed is involved. To succeed as a trader, you must remain emotionally detached and numb to emotional influence.

Trading Emotions and Navigation Tips

In no particular order, here are tips on how to navigate 5 common trading emotions.

Greed = Sell

Greed tends to emerge when you're in profit and the trade is in your favor. You may contemplate how to spend your newfound fortune, assuming that profits will keep increasing. As a result, you may hesitate to sell and take your profit. Your greed may be the result of doing well, but if you aren't careful, you may slip and end up in a drawdown.

Let me be clear: 99% of the time, your asset or trade position will not keep appreciating indefinitely. Within minutes, hours, days, or weeks, the price is likely to retrace. Therefore, when greed arises, it's time to consider selling. Profit is profit. Exiting a trade with a 200% return on investment (ROI), even if you missed a 500% ROI, is preferable to holding the asset into a loss.

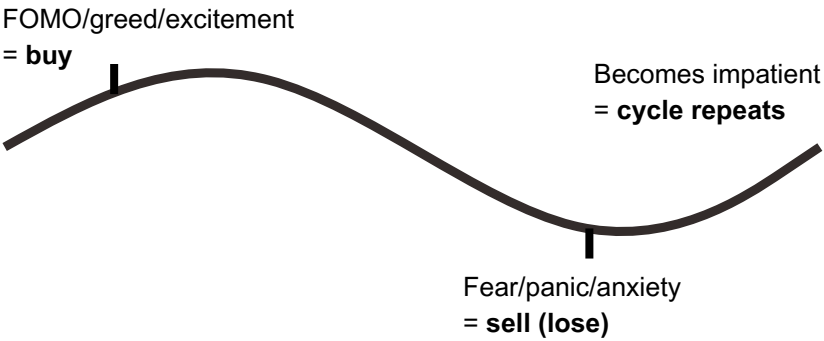
Always ensure that you use predetermined stop-loss and take-profit orders, good risk management, and well-defined trade setups to automate the process. Sloppy trading as a result of greed can leave you in the red.

FOMO = Do Not Buy

In trading, the fear of missing out, or FOMO, arises when traders fear they might miss significant opportunities or believe that other traders are more successful. Traders who grasp the concept of FOMO, understand its origins, and recognize how they respond to it are better equipped to address it effectively. Dealing with FOMO is a highly valuable skill for traders, as it can not only have a negative emotional impact but also cloud judgment and logic, especially when making rapid trading decisions.

FOMO is the nemesis of many traders, leading to impulsive urges to buy or sell trading assets without fully considering the consequences. If you witness a rapid increase in the price action of your currency pair, cryptocurrency, or any other asset, you may feel an urge to jump in. However, by the time an asset is already surging, it's often too late.

An Emotional Trader's Experience (Concept)



A Emotional Trader's Experience (Chart)



Yielding to FOMO often results in buying near the peak, which can lead to losses or smaller wins. Therefore, if you sense FOMO creeping in, take a step back, analyze the charts thoroughly, and review all market metrics before entering a trade position to avoid setting yourself up for likely losses.

Legendary investor Warren Buffet once said, "Be fearful when others are greedy, and greedy when others are fearful." Succumbing to FOMO essentially means acting when others are greedy, which goes against Buffet's advice.

As one of the most successful investors of all time, we should all listen to Buffet and maintain a rational approach to trading.

Anger = Step Back

Incurring a loss on a trade often triggers anger. Trading while angry leads to revenge trading in an attempt to recoup losses, which usually results in more losses, fueling further anger. Revenge trading is a natural emotional response when a trader suffers a significant loss and attempts to recover immediately. It has been identified as one of the major causes of traders' failure. In fact, Brett Steenbarger, a well-known trader and trading coach, described revenge trading as a "dangerous and irrational way to use your trading capital."

Despite it being difficult to keep the goal in mind and control your emotions after a loss, if this happens, take a step back, have a day or two off, and return with a clear mind. If you really must, place small trades if you struggle to step away from the markets. Use this time to revisit your trading plan and realign with your strategy. Instead of making trades while angry, adjust how you are going to trade moving forward after your small break. After all, the goal of trading is to build capital, not throw it away.

Impatience = Analyze and Research More

Impatient traders are always in pursuit of the next big trade. They jump into trades without a clear plan, hoping to catch quick profits. This impulsive behavior often leads to losses. Impatience, or "itchy feet" in trading, arises from a desire for instant gratification. In a society accustomed to immediate results, impatience may prompt you to enter positions early, without conducting proper research or analysis.

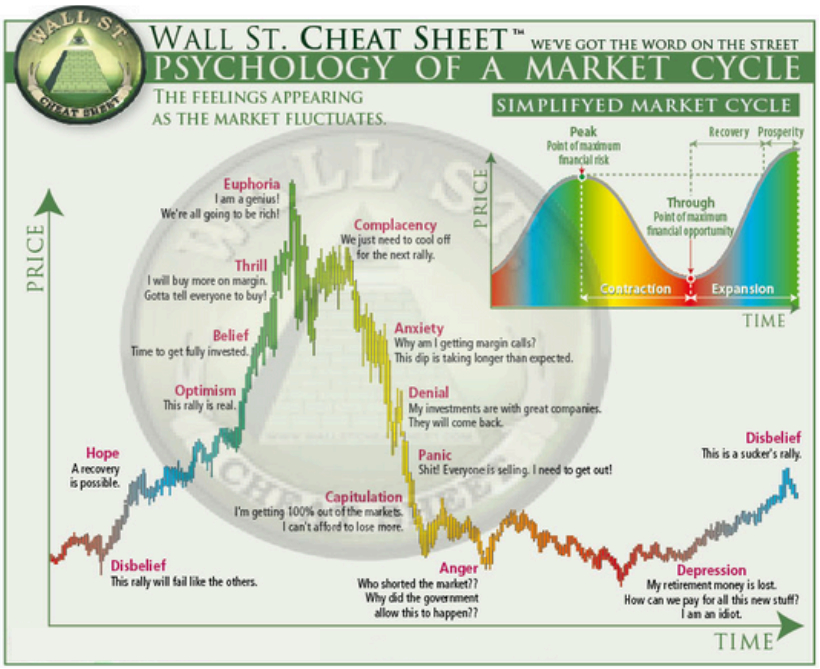
The impatient trader also feels the need for constant action, which can lead to overtrading. Overtrading is where traders make numerous trades in a short period, often spreading themselves too thin and not thinking critically about their trade positions. While they may get lucky occasionally, trading without proper research or analysis typically leads to losses.

If you feel impatient while trading, please exercise caution, conduct thorough research, and wait for the right opportunity before making impulsive decisions.

Confident = Be Cautious

Surprisingly, overconfidence in trading is an emotion that can negatively affect results, as it can lead people to overestimate their skills and knowledge, trade too frequently, or skimp on research or analysis. Because of overconfidence, traders can make poor financial decisions.

When you're on a winning streak, it's easy to become overly confident. This euphoric feeling can quickly lead you to be incredibly arrogant, resulting in far riskier trades being taken. While this can be a good thing sometimes, it's always worth paying attention to. Even if you go on a large winning streak and multiply your account by tenfold, you're only ever one bad trade away from losing everything.



In other words, if you over-leverage yourself into a position that dumps without proper risk management, all of the wins that led you here would count for nothing. The key is to always be emotionally numb, trade smart, and not hard. Never invest what you cannot afford to lose and never overinvest in a single trade.

There are many more emotions you will experience on your trading journey, but these are the most important ones to learn how to navigate to be successful. Some examples of other emotions are fear, hope, regret, anxiety, excitement, panic, disappointment, euphoria, and desperation. Please see the Wall St Cheat Sheet Psychology of a Market Cycle to learn about the emotions that appear as the market fluctuates and moves through its cycle.

Learn to Manage Trading Emotions

Learning how to navigate your emotions while trading is something that takes time and practice. Use this path below to help you learn faster.

Understand Your Emotions: Recognize and familiarize yourself with the emotions you experience during trading. Understanding these emotions is the first step towards managing them effectively.

Create a Trading Plan: Create a personal trading plan that includes your financial goals, risk tolerance, and strategy for entering and exiting trades. Having a clear plan provides a framework for decision-making, reducing the likelihood of emotional reactions.

Set Realistic Goals: Define realistic and achievable trading goals. Setting unrealistic expectations can lead to frustration and emotional stress. Break down your long-term goals into smaller, manageable targets.

Risk Management: Implement proper risk management techniques as discussed in this chapter, such as setting stop-loss and take-profit orders, and position sizing. This helps protect your capital and minimizes the impact of losses on your emotions.

Keep Emotions Separate from Trading: Learn to detach your emotions from your trades. Avoid making impulsive decisions based on emotional reactions. Stick to your trading plan and strategy, regardless of how the market is moving.

Practice Patience: Patience is a key virtue in trading. Avoid chasing the market or making hasty decisions. Wait for your trading setup to present itself and be disciplined in executing your strategy.

Stay Informed: Keep yourself well-informed about the markets and the assets you are trading. Knowledge reduces uncertainty, and a well-informed trader is more likely to make rational decisions.

Journal, Review, and Learn from Trades: Regularly review your trades, both successful and unsuccessful. Identify patterns and learn from your experiences. This analytical approach helps you improve your strategy and reduce emotional reactions.

Take Breaks: This is often overlooked. Trading can be mentally exhausting and overtrading is a common pitfall new traders fall victim to. Take breaks to refresh your mind and avoid burnout. Stepping away during periods of high emotion can prevent rash decisions.

Accept Losses: Losses are a part of the ‘game’ of trading. Accept them as inevitable and focus on the bigger picture. Dwelling on losses can lead to revenge trading and heightened emotions when making important decisions.

As you're just getting started on your trading journey, I'm glad that you've read this. This could potentially save you from making many mistakes and losses. If you have ever traded before, then I do not doubt that you would have felt some, if not all, of these emotions when trading.

I cannot emphasize enough how important it is to manage your risk and navigate your trading emotions on this journey. How you manage your risk and navigate your emotions will be the determining factor in whether you are a successful trader or not. Read this chapter again and again until the principles are engraved in your mind.

Chapter 7 Action Points

Mindfulness Habits: Begin to develop lifestyle habits that will benefit you later during your trading journey. Practice things that bring you peace and mental clarity, as these will allow your trading performance to be optimal. Consider walking in nature, meditation, yoga, and other activities that still your mind before and after trading sessions.

Emotional Awareness: Take time to recognize, understand, and journal the emotions you will experience while trading. Identify the potential common emotional triggers such as losses and their effects on your decision-making process. Try to become a conscious observer of your emotions rather than letting them push you into chaos.

Acceptance of Losses: Acknowledge now that losses are an inevitable part of trading to make it easier for yourself later. Remember to focus on the bigger picture and avoid dwelling on individual losses, which can lead to impulsive decisions, emotional distress, and clouded judgment when trading. There is not a single trader on the plant that doesn't lose. Please refer back to the quote at the beginning of Chapter 6 for a reminder.

Chapter 8
Developing a Comprehensive Trading Plan

At this stage, you're almost ready to start trading. However, to increase your chances of success, it's crucial to develop a trading plan to guide you through your trading routine and decision-making process with consistency.

A trading plan is a systematic method for identifying trades that takes into consideration several variables, including time, risk, and goals. It outlines how you will identify and execute trades, including under what conditions you will buy and sell, how large a position you will take, how you will manage positions while in them, what assets will be traded, and other rules for when to trade and when not to. A trading plan always combines both technical and fundamental analysis.

Maintaining discipline in the markets and establishing a personalized system is crucial for successful trading. With a plethora of timeframes, indicators, and patterns, it's easy to get lost in the noise and make irrational decisions. A carefully curated trading plan helps you take a step back and analyze charts based on price action from one end to the other.

The trading plan below, created by me and my team, comes in the form of a checklist for your convenience. It serves as a tool to create a clear mindset, laser focus, and precise execution in the markets. You should use your trading plan daily and weekly. This plan is curated to meet our crypto and forex needs.

As trading is a highly individual journey, feel free to tailor this list to your own preferences and trading style, creating a system that works uniquely for you.

Trading Checklist

HIGH TIMEFRAME (HTF) ANALYSIS | WEEKLY-MONTHLY:

- [ ] What is the general direction of the market (bullish or bearish)?
- [ ] What is the macro volume looking like?
- [ ] What are momentum indicators telling us (usually lagging)?
- [ ] What level is the Stochastic RSI sitting at?
- [ ] What macro events/FED updates should we be focusing on currently?
- [ ] What is their likely impact on risk markets (S&P500, Forex, and crypto)?
- [ ] Where is the US Dollar Index (DXY) sitting? Is the trend bullish or bearish?

MEDIUM TIMEFRAME (MTF) ANALYSIS | 8 HOUR-12 HOUR-DAILY:

- [ ] What is the trend looking like on the daily? Are we range-bound, trending up, or trending down?
- [ ] Where are we in relation to the previous week (mark previous weekly levels)?
- [ ] What are the key weekly and daily levels to focus on for Support and Resistance (S&R) zones?
- [ ] Is the market overbought or oversold?
- [ ] Does daily have confluence with the weekly timeframe?
- [ ] Who is in control and at what point do we reverse sentiment (bulls vs bears - long/short - fear and greed index if crypto)?

LOW TIMEFRAME (LTF) ANALYSIS | 4 HOUR-1 HOUR:

- [ ] What are the current behaviors of price action within the LTF structures?
- [ ] What LTF patterns are at play? What are our LTF support and resistance (S&R) zones?
- [ ] Are we ranging between S&R, or are we looking to break out?
- [ ] Look for confluence on multiple LTFs to see if we have a strong base for the attempted direction of the market.

TRADE POSITION:

- [ ] Do you have conviction in the direction you are taking?
- [ ] Have you adjusted and calculated risk management correctly?
- [ ] How does my trade position differ from my macro perspective?
- [ ] If I get stopped out (stop loss), where can I re-enter?

Trading Journal

A trading journal is a tool for tracking your trading performance by recording your trades, which you can later review to improve your trading activity by learning from both your successful and not-so-successful trades.

The main reasons to keep a trading journal include:

• A journal is a log of all of your trading activity
• A journal helps you to identify weak points and strong points in your style
• A journal can increase trading consistency
• A journal keeps you accountable when used correctly
• A journal can help you choose and refine your best trading strategy
• A journal can improve your psychology and risk management

Keeping a journal is a simple yet extremely effective way to improve your trading plan.

How to Create a Trading Journal

Creating a trading journal is simple, and you can tailor one to your specific trading goals and style. You can choose between a physical handwritten journal or a digital spreadsheet. By keeping a record of your thought process and trades, you'll learn to be disciplined, effective, and more successful in the long run. Here's my journal checklist:

- ☐ Entry log
- ☐ Position size
- ☐ Open price
- ☐ Close price
- ☐ Win/loss
- ☐ Hold time
- ☐ Total profit/loss
- ☐ Total risk-reward (RR)
- ☐ Screenshots before trade
- ☐ Screenshots after trade
- ☐ Emotions felt (e.g., fear, greed, confidence, uncertainty)
- ☐ Strategy used
- ☐ Notes

Again, feel free to adapt this according to your preferences.

Reflecting on your journal often helps you learn from your wins and mistakes, so be honest with yourself. Ultimately, the journal will help you adjust your strategy and approach over time, leading you to a higher win rate. Don't underestimate how important it is! If you prefer not to journal manually, check out TradeZella to automate your journaling.

The other aspects of a comprehensive trading plan are risk management, navigating trading emotions, and trading rules, which we covered extensively in the previous chapters.

Combine and use everything you've learned in this and the previous chapter as a checklist to keep your trades, journal, emotions, and risk management tight. By doing so, you'll increase your chances of becoming a successful trader.

For a PDF version of my personal trading plan checklist for your own use, navigate to the "educational guides" section in my Instagram bio link.

Chapter 8 Action Points

Implement Timeframe Analysis: Conduct a practice analysis across multiple timeframes (high, medium, and low) on TradingView according to the trading plan outlined above to practice and gain a comprehensive view of the market trends and identify potential trade setups. Revisit the technical analysis lessons in Chapter 5 if neccessary.

Setup a Trading Journal: If you haven't already, create a detailed trading journal to track your trades, analyze your performance, and identify areas for improvement. Use the trading guidelines given above to establish a template to record entry and exit points, position size, profit/loss, emotions felt, and trading strategy used. This can be either handwritten or on a digital spreadsheet. In Chapter 13, I've left my personal journal and performance tracker spreadsheet for you to claim and use.

Chapter 9
Testing and Refining Your Plan

Now, on to the actual trading. In the pursuit of trading success, testing and refining your trading plan is an ongoing process that allows you to adapt to all market conditions and enhance the effectiveness of your strategies. This chapter explores the essential methods for testing and refining your trading plan over time.

Backtesting

Backtesting is a method for seeing how well a strategy or trading model would have done in the past. Backtesting assesses the viability of a trading strategy by discovering how it would play out using historical data. If backtesting works, traders can develop the confidence to employ it going forward. This retrospective analysis helps to identify potential strengths and weaknesses in the new approach or strategy before risking real capital.

A well-conducted backtest that generates positive results assures you that the strategy being tested is fundamentally solid and is likely to yield profits when implemented on a live account. In contrast, a well-conducted backtest that generates poor results will direct you to alter or reject the strategy completely. It's crucial to understand how to backtest properly so you can validate whether a trading strategy is likely to make you successful or not. Here's how.

1. Define Your Strategy: Clearly outline the trading strategy you want to test. This includes entry and exit criteria, risk management rules, and any other relevant parameters.

2. Collect Historical Data: Gather historical market data for the assets you want to trade, including price, volume, and any other indicators or factors relevant to your strategy.

3. Choose a Backtesting Platform: Select a backtesting platform or software that suits your needs. There are various options available, ranging from basic spreadsheet tools, price action charts, to more sophisticated trading platforms with built-in backtesting capabilities.

I prefer to backtest on FX Replay, an all-in-one trading software for backtesting and journaling. Unfortunately, it's a paid tool, but because I trade full-time, I'm happy to pay for trading tools. For a free option, you can easily backtest on TradingView. Here's a step-by-step tutorial on how to backtest properly on TradingView.

4. Strategy Definition: Clearly define the rules, including entry and exit points, risk management parameters, stop-loss, and take-profit levels. Your strategy should be unambiguous, leaving no room for subjective interpretation.

6. Simulate Trades: Move forward candle by candle. Every time your strategy's conditions are met, note down potential trades – entries and exits. You'll want to test your strategies multiple times before putting real money to work.

7. Compile Results: Tally the wins and losses to get an overview of your strategy's potential.

8. Analyze Results: Evaluate the performance of your strategy based on the backtest results. Pay attention to metrics such as profitability, risk-adjusted returns, maximum drawdown, and any other relevant indicators.

9. Optimize Strategy: If necessary, refine your trading strategy based on the backtest results. This may involve tweaking parameters, adding or removing rules, or adjusting risk management techniques to improve performance.

10. Validate Results: Validate the robustness of your strategy by testing it on different time frames or market conditions. This helps ensure that your strategy is not overfitting to specific historical data and is likely to perform well in real-world trading.

11. Implement Strategy: Once you're satisfied with the results of your backtest and validation, you can consider implementing your trading strategy into forward testing or even the live markets after thoroughly backtesting.

Forward Testing

Forward testing is a method of evaluating the performance of a trading strategy by applying it to real-time market data and observing how it performs in real-time, on data that the strategy has not seen before. This is in contrast to backtesting, which involves applying a strategy to historical data and observing how it would have performed in the past. This practice bridges the gap between theory and live trading, offering a risk-free environment for refining your skills if conducted on a paper trading (demo) account. Here's how it works.

1. Implementing the Strategy: Execute trades based on the rules of your trading strategy and the results of your backtesting, just as you would in live trading. However, instead of using real money, you use a demo account provided by a trading platform.

2. Real-Time Market Conditions: Trades are executed in real-time, reflecting the current market prices and conditions. This allows you to gauge how your strategy performs in the actual market environment.

3. Tracking Performance: Monitor the performance of your strategy during the forward testing period, keeping track of key metrics such as profitability, win rate, maximum drawdown, and risk-adjusted returns.

4. Learning and Adjustment: Forward testing provides valuable insights into how your trading strategy performs in practice. You can observe how the strategy reacts to different market scenarios and identify any weaknesses or areas for improvement.

5. Refinement and Optimization: Based on the results of forward testing, you should refine and optimize your trading strategy to enhance its performance. This may involve adjusting parameters, adding new rules, or fine-tuning risk management techniques.

6. Validation: Forward testing serves as a form of validation for the trading strategy. By testing the strategy in real-time market conditions, you gain confidence in its effectiveness and reliability.

7. Transition to Live Trading: Once the trading strategy has been thoroughly tested and optimized through forward testing, you may consider transitioning to live trading with real capital if the strategy is found to be profitable. However, it's essential to start with small position sizes and gradually increase exposure to manage risk effectively.

Overall, forward testing is a critical step in the trading strategy development process, allowing you to validate and refine your strategies before risking real money in live markets. It helps build confidence in the strategy's effectiveness and increases the likelihood of success in real-world trading, so don't skip this part!

Depending on the financial market, asset class, trading pair, or trading platform you choose, the process of backtesting and forward testing will vary. A simple Google search for "how to open a demo account in [insert trading platform]" will provide you with all the instructions you need.

By incorporating backtesting, forward testing, and adaptability to market conditions, you enhance the effectiveness and validity of your trading plan and reach a stage where you are ready to trade on a live account with confidence.

Chapter 9 Action Points

Choose a Backtesting Platform: Select a suitable backtesting platform or software based on your needs, ranging from basic spreadsheet tools to sophisticated trading platforms with built-in backtesting capabilities such as FX Replay. TradingView is free and very popular. Please watch the provided YouTube tutorial to learn how to backtest on TradingView.

Create a Demo Account: Open a demo account to simulate trades without risking real capital in live market conditions. For Forex, consider using MetaTrader 4 as it is very user-friendly and easy to navigate. For crypto trading, consider using BingX and navigate your way to simulating trades.

Chapter 10
Choosing Your Broker or Exchange

You're so close, you're almost there! Executing live trading and earning sweet profits are just around the corner. However, before you start live trading, you need a platform to facilitate your trades. These platforms are known as brokers (forex) and exchanges (crypto).

Unsure what a broker or exchange is? Let's look at a forex example. A foreign exchange broker, or forex broker, is a financial service provider that lets you buy and sell currency. It's a bit like a middleman between traders and the interbank, which is a global market that allows you to trade foreign currency. Traditionally, a forex broker would buy and sell currencies on your behalf. But today there are lots of online forex brokers that offer trading platforms for you to trade currencies yourself. The same applies to exchanges and crypto.

Your broker (or exchange) serves as the gateway to trading the financial markets and selecting the right one is crucial for a seamless trading experience. This chapter explores key factors to consider when choosing a broker and executing trades.

Choosing a Broker

Choosing the right brokerage firm is a crucial decision for any trader. The broker you choose will not only handle your trades but will also provide you with tools and resources to make informed decisions about your investments. Thorough research and comparison are essential steps in finding a broker that aligns with your trading goals and preferences. Here's everything you need to look out for.

Regulation and Reputation: Choose a broker regulated by a reputable financial authority. Research online reviews and testimonials to gauge the reputation of potential brokers within the trading community.

Account Types: Brokers often offer different account types catering to various levels of traders. Consider whether a standard, premium, or professional account best suits your needs and trading volume.

Leverage and Margin: Leverage lets you borrow from a broker so that you can trade larger amounts of currency. You have to put down a small initial deposit, called a margin, and the broker will top up the rest. For example, if a broker offers leverage of 1:20 it means that you can make trades 20 times the value of your margin. The amount of leverage offered varies between brokers, so it's worth comparing them to find the most suitable one for your trading strategy.

Transaction Costs: Evaluate the fee structure of the broker, including spreads, commissions, and overnight financing charges. Be mindful of how these costs may impact your profitability, especially for frequent traders.

Hidden Costs: Read the broker's terms and conditions for any hidden fees or charges. Transparency in fee structures is a key indicator of a reliable broker.

I have been using BingX for trading and investing in crypto for a long time now and my experience has been great! For Forex and commodities, I am currently mainly trading on funded accounts.

What is a Funded Account?

A funded account refers to a trading account that is provided with capital by an external entity, such as a proprietary trading firm. Unlike a regular trading account where you deposit your own funds, a funded account offers traders the opportunity to trade with the external entity's money. This arrangement can be particularly beneficial for those who may not have substantial capital to invest initially.

When you opt for a funded account, you are essentially entering into a partnership with the entity providing the funds. These firms typically have specific criteria that traders must meet to qualify for funding. Once approved, traders are granted access to the allocated capital and can start trading within the defined parameters. If you wish to explore prop firms and funded accounts, reach out to me and I'll suggest a reliable one.

Funded Account Pros

Some of the primary advantages of funded accounts include the ability to trade with larger sums of capital, performance-based compensation, and the removal of trading emotions from the equations due to not trading your own capital. This increased buying power allows traders to potentially amplify their profits. Additionally, funded accounts often come with a profit split basis and reduced or even zero commissions. This enables traders to retain more of their earnings.

In addition, funded accounts provide you with an opportunity to gain valuable experience without risking your capital, meaning that the trading experience is less stressful. By trading with an external entity's money, you can hone your skills, experiment with different strategies, and learn from your mistakes, all while building a track record that may open doors to more significant opportunities in the future.

Funded Account Cons

Proprietary trading firms typically impose strict requirements and limitations on their traders. This is fair considering the firm risks its own money, and the firm's goal is to earn money, not to lose it. However, the rules can severely limit traders in terms of freedom and strategies. This may result in traders abandoning very profitable strategies for less profitable ones or tweaking a trading strategy to the point it stops being a profitable one.

The limitations and requirements may put additional stress on a trader, especially if they include a profit target and a time limit.

That not only can be detrimental to the trader's psychology but can also lead to sub-optimal and outright bad trades.

Furthermore, it is good to have the ability to withdraw the money you have earned from your account any time you need it. However, that is usually not an option with funded accounts. Typically, prop firms allow the withdrawal of funds once or twice a month on specific dates. While this is not the end of the world, it is still a negative feature of funded accounts.

While funded accounts are widely available, not everyone may be eligible. Proprietary firms often have specific requirements, such as a minimum level of trading experience, a proven trading track record, or the successful completion of a qualifying evaluation phase. Therefore, funded accounts may be something you consider once you are more experienced.

To learn more, please join the PlayBit Discord server and go to the #firm-links channel for the best prop firms and exclusive PlayBit discounts.



Security and Regulation

Security and regulation are paramount when entrusting your funds to a broker. Ensure that your chosen broker sticks to strict regulatory standards and implements robust security measures. Double-check these.

Regulatory Compliance: Confirm that the broker is regulated by a recognized financial authority. This adds a layer of protection for your funds and ensures the broker adheres to ethical and legal standards.

Security Protocols: Assess the broker's security protocols, including data encryption, two-factor authentication, and secure login procedures. These measures protect your personal information and trading account from unauthorized access.

Fund Protection: Verify if the broker segregates client funds from its operational funds. This ensures that your capital remains protected even in the event of the broker's financial challenges.

By conducting thorough research, comparing brokers, and prioritizing the factors outlined above, you set the stage for a secure and efficient trading experience. Choosing a reputable broker is a crucial step in executing trades with confidence and ensuring the safety of your trading capital. With just a quick search on Google and identifying which brokers are popular in your chosen market and geographical location, you'll be able to identify the best broker for you to get started right away.

Chapter 10 Action Points

Evaluate Trading Platforms: Research and assess the quality and functionality of trading platforms offered by different brokers or exchanges. Look for user-friendly interfaces, real-time data, analysis tools, and mobile compatibility. Once you've found an exchange and/or broker that you like, go ahead and open an account. Alternatively, go with the ones I have suggested above.

Explore Funded Accounts: Time invested in education is never wasted! Spend some time researching and learning about the concept of funded accounts. While they may not be right for you at present, they are something to consider down the line. Knowing about them early can be beneficial regarding timing in your trading journey.

Chapter 11
Developing Strategies and Identifying Trade Positions

It's time to put everything you've learned together to develop your trading strategy to generate trade ideas and identify potential trade positions. There are several methods to accomplish this, but you should integrate everything you have learned in this book so far to optimize your chances of success.

Additionally, risk management and emotion management should always be crucial considerations when executing trades based on your ideas. I'm aware that the importance of risk management and emotional control is being repeated. However, it is on purpose as their significance cannot be overstated if you want to succeed.

Now, there are two options when you get to this stage:

1. Work on developing a trading strategy as outlined in Chapter 9.

2. Learn and use a proven strategy that has brought many traders success.

I'd suggest using a combination down the line. However, in the beginning, opting for option 2 can kickstart your journey as the strategies are already established and proven. The abundance of strategies in the trading world can make one's head spin. So, to help you get started, here are some of the most well-established and reputable trading strategies that are beginner-friendly for you to study and learn.

1. Smart Money Concepts - Inner Circle Trader (ICT)
2. TheStrat by Rob Smith
3. Supply and demand strategy
4. Reversal and continuation chart patterns
5. Candlestick reversal combinations
6. Breakout retest strategy
7. Trend lines market structure

You can find many free resources online to begin trading with one or more of these strategies. I'd suggest doing some research on each and finding one that appeals to you. One particularly popular strategy amongst beginners is number 1, The Inner Circle Trader. For in-depth education, click on the hyperlink to check out the ICT YouTube channel for beginner-friendly strategies that you can learn, develop, and implement today. Otherwise, let's explore core concepts here to get you started.

What is ICT Trading?

The ICT Trading Strategy is a comprehensive methodology that encompasses market structure analysis, liquidity zones, displacements, and other key concepts. One of the strategy's notable strengths is its attempt to emulate the trading behavior of Smart Money (Smart Money Concepts), which comprises institutional players in the market. If you're unaware, smart money is the capital that is being controlled by institutional investors, market mavens, central banks, funds, and other financial professionals.

The ICT Trading Strategy is built on a deep understanding of market structure. In the financial market, large players and market makers often accumulate large order blocks before making significant price moves. This is especially valid in forex trading, where central banks often intervene in the market. During this accumulation phase, prices tend to hover within a correction range, often breaking short-term support and resistance levels. However, a crucial insight that the ICT method provides is the identification of the precise candle where the order flow starts.

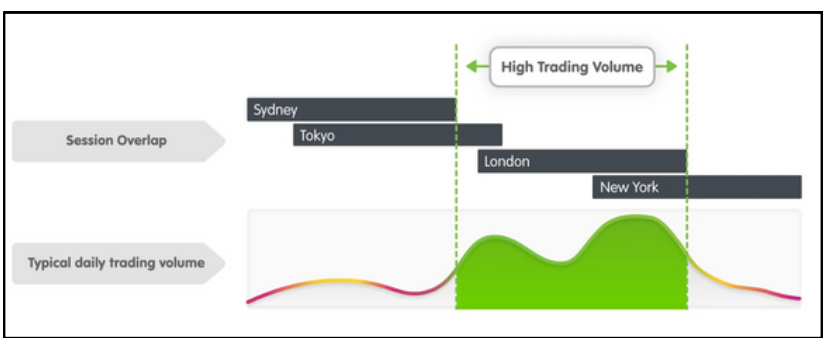
To effectively implement the ICT Trading Strategy in Forex, traders must also understand how the financial market works. The financial market operates on a 24-hour cycle which allows traders to potentially trade all day and all night. This behavior allows traders to track intraday price sentiment, enabling them to capitalize on trading opportunities from optimal levels.

As a reminder from earlier in this book, just because you can trade at any time doesn't mean that you should.

The best times to trade are when the market is active with many traders opening and closing positions. You can make money trading when the market has volume and moves up or down. However, you will have a difficult time making money when the market doesn't move at all. This is why you should focus on trading during specific sessions:

- The Sydney session (9:00 pm - 6:00 am UTC)
- The Tokyo session (12:00 am - 9:00 am UTC)
- The London session (7:00 am - 4:00 pm UTC)
- The New York session (1:00 pm - 10:00 pm UTC)

For maximum volume, you want to avoid trading when only one trading session is open, and instead, wait for trading sessions to overlap. When two sessions overlap, the number of traders actively trading greatly increases. The highest trading volume occurs during the overlap of the London and New York sessions (more than 50% of trading volume).



XAUUSD (gold) is one of my favorite assets to trade. I trade it during the overlap of the London and New York sessions daily. For you, the best time depends on which asset or currency pair you're trading. For example, AUD/JPY experiences higher trading volume when both Sydney and Tokyo sessions are open. These rules mainly apply to traditional financial markets as the crypto market is open every hour of every day.

Back to the ICT strategy. Numerous trading strategies have been developed based on the ICT concept, each with its unique approach.

However, it's worth noting that sticking to intraday and higher time frame swing trading tends to be more profitable than others. This is particularly true for beginners as it requires more skill and better risk management to be a short-term scalp or day trader.

Key ICT Concepts

Liquidity

Liquidity is the first, and arguably the most important concept within the ICT trading methodology. Liquidity in the ICT Trading Strategy comes in two specific forms: buy-side and sell-side. Buy-side liquidity refers to the area on a price chart where short-selling traders are likely to have their stop orders placed. Conversely, Sell-Side Liquidity identifies the zones where bullish traders' stop-loss orders are concentrated.



Both Buy-Side and Sell-Side Liquidity zones are typically found at the extremes of price volatility, often near the tops and bottoms of price patterns. This is because retail traders commonly set their stop-loss orders or decide to close their positions in these areas.

Liquidity plays a vital role in the ICT methodology, as it seeks to emulate the trading behavior of Smart Money, thus helping traders identify market structure shifts.

Displacement

Displacement is characterized by a sudden and forceful price movement, either upwards or downwards. On a price chart, it typically appears as a sequence of consecutive long candles with minimal wicks, all moving in the same direction.

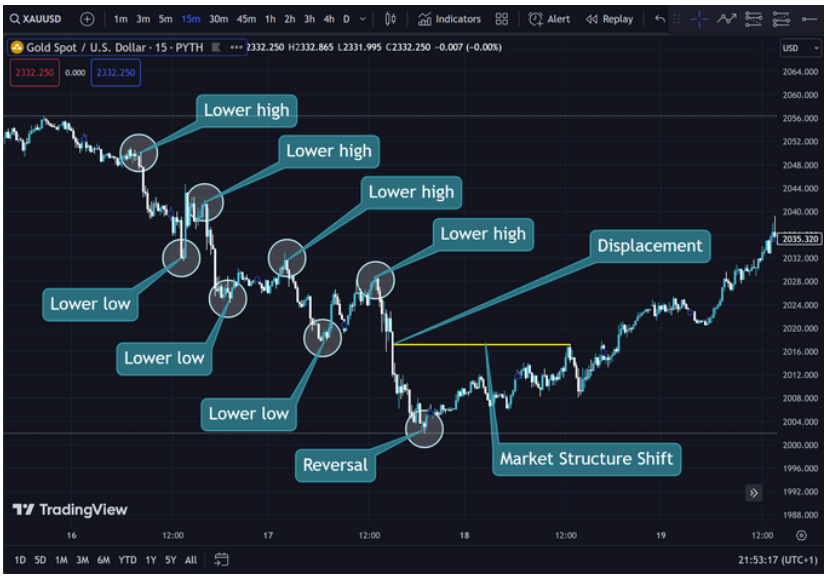


Two key points to remember about Displacement are that it often signifies a sudden surge in buying or selling pressure, frequently occurring when the price reaches a Liquidity level. Additionally, Displacement almost invariably results in two significant outcomes: a Market Structure Shift and a Fair Value Gap.

Market Structure Shift

As discussed in Chapter 5, trends are defined by higher highs and higher lows in an uptrend and lower highs and lower lows in a downtrend.

A Market Structure Shift is a level on the chart where the existing trend is disrupted. In an uptrend, a Market Structure Shift is marked by a lower low, while in a downtrend, it typically occurs when a higher high is established. These shifts usually follow a Displacement.



After a price breach through a Market Structure Shift level, traders that employ this strategy begin looking for additional signals confirming a change in trend, using this level as a reference point for their trades.

Inducement

Inducements are seen at the peaks of mini-counter-trends within a larger-scale trend. These movements are often the result of Smart Money engaging in stop-loss hunting activities in lower time frames.

ICT traders base their strategies on the belief that once an Inducement level is reached and additional liquidity has entered the market, the price will reverse course and continue its original trend.



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Fair Value Gap



When a Liquidity level is breached and a trend reversal occurs, traders often observe a gap on their charts. This is referred to as a Fair Value Gap. Specifically, a Fair Value Gap consists of three candles, with a larger one at the center and a gap between its wicks and those of the surrounding candles. Fair Value Gaps tend to be filled at some point in the future, and this is the concept that traders leverage when setting their orders.

Optimal Trade Entry

After an Inducement triggers a Displacement, which subsequently results in a Market Structure Shift and a Fair Value Gap, ICT traders use Fibonacci levels to pinpoint their Optimal Trade Entry points before executing trades. These entry points typically fall within the range of 61.8% to 78.6% retracement of an expansion range.



Balanced Price Range

A Balanced Price Range is defined by two Fair Value Gaps created by two Displacements of opposite directions occurring in a short period.

ICT traders actively engage with this volatility, anticipating that the price is likely to resume its original trend once the limits of the Balanced Price Range are breached.



Using ICT to Identify Trade Setups

The ICT trading strategy contains different setups, from the simplest to the most complicated. However, the beauty of trading is in simplicity, especially in the beginning. One simple, highly effective, and profitable strategy is the Liquidity Sweep/Grab Strategy (I highly recommend you watch this video).

The core principle of the Liquidity Sweep/Grab Strategy is in the interplay between sell-side and buy-side liquidity. When sell-side liquidity is swiftly cleared out through a liquidity sweep, it sets the stage for the price to gravitate toward the buy-side liquidity, aligning with its prevailing direction. This, in turn, often triggers a significant shift in market sentiment.

Unlike some other ICT setups that require patience for price mitigation or the identification of demand and supply zones, the Liquidity Sweep Strategy operates on a more immediate timeline.

Trades are executed promptly upon the recognition of valid bullish or bearish liquidity sweep patterns in the market. Let's break down how this trading technique works.

Step 1: Spot a Valid Single Candle Liquidity Sweep Pattern on HTF

To initiate this strategy, it's crucial to identify a valid single candle liquidity sweep pattern on the higher time frame (HTF). In a bullish context, this pattern is shown as a single candle that sweeps out liquidity below the previous low just before a sudden and significant upward movement. Importantly, the price must clear the liquidity below the lowest point of the previous structure using only one candle body or wick.



The validity of this pattern hinges on the subsequent candle after the sweep. It should neither exceed nor close below the sweep candle; otherwise, the setup becomes invalid. The opposite holds for a bearish liquidity sweep pattern.

Step 2: Zoom Into the Lower Time Frame and Look for a CHoCH

After the liquidity sweep with a single candlestick, the next step is to switch to a lower time frame (LTF) and patiently await a change of character pattern (CHoCH). This pattern signifies a confirmation of a shift in market structure on the entry time frame.



With this confirmation in hand, traders can then proceed to set their limit orders either on the newly identified order block or the fair valued gap. The choice between these two entry points is entirely at the discretion of the trader.

Some may prefer to backtest and choose the one that resonates best with their trading style. Alternatively, a combined approach can be employed, treating the fair valued gap and order block as a single zone and placing the entry at its midpoint.



Step 3: Setting Stop Loss and Target Profit

When implementing the Liquidity Sweep Strategy in an uptrend, it's advisable to place the stop loss below the order block. Conversely, in a downtrend, position the stop loss above the order block.



Always leave a buffer for spread when determining your stop loss to mitigate any adverse slippage. Regarding the target profit, look to place it at the next opposite swing point in the price movement. This provides a clear objective and helps you lock in gains when the market moves in your favor. As you can see from the example above, this strategy played out perfectly and the trade position generated a stunning 1:5 risk-reward (RR) trade.

Combine the liquidity strategy above with daily bias (bullish or bearish market trend taught in Chapter 5) and lower time frame confirmation, and you have yourself everything you need to start trading profitably. Master these and the possibility of becoming a successful trader quickly becomes very possible.

Saying this, it's essential to acknowledge that trading always carries risks, and losses are a part of the game. The ICT Trading Strategy is no exception. Success with this strategy requires a solid understanding of its concepts, disciplined execution, and risk management, which you will develop over time with practice.

Chapter 11 Action Points

Evaluate Your Trading Strategy Options: Research and familiarize yourself with different trading strategies, including Smart Money Concepts (ICT), TheStrat by Rob Smith, supply and demand strategy, reversal and continuation chart patterns, candlestick reversal combinations, breakout retest strategy, and trend lines market structure. There are many resources, tutorials, and educational videos online and on YouTube.

Choose a Starting Strategy: After getting an overview of a few strategies, select a trading strategy that resonates with you, your trading style, time commitment, risk tolerance, and goals. Consider starting with a beginner-friendly strategy like the Smart Money Concepts Liquidity Sweep/Grab Strategy for its comprehensive methodology, high-probability scenarios, and focus on market structure analysis.

Understand Key Concepts: Familiarize yourself with key concepts of the chosen trading strategy, such as liquidity zones, displacements, market structure shifts, inducements, fair value gaps, optimal trade entry points, and balanced price ranges.

Identify Trade Setups: Learn to spot valid trade setups within your chosen strategy, such as single candle liquidity sweep patterns on higher time frames (HTF) and change of character patterns (CHoCH) on lower time frames (LTF). Follow the steps outlined in this chapter to practice identifying entry points based on order blocks, fair valued gaps, or a combination of them all, depending on your preference and trading style.

Implement Risk Management: Incorporate your risk management plan that includes predetermined risk or reward by setting stop-loss orders and target profit levels. Also, calculate the risk-to-reward ratio of each trade as taught in Chapter 6 and establish the skill of spotting trades that present a favorable risk-reward ratio.

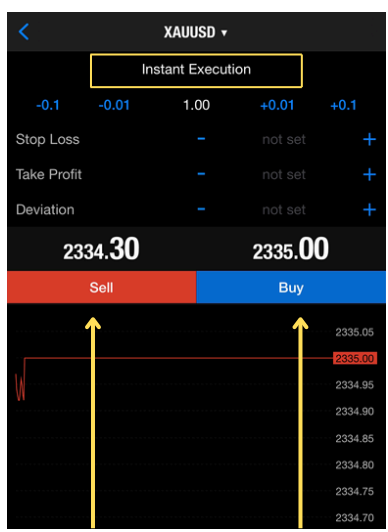
Chapter 12
Executing Live Trades

Congratulations! You've finally made it to the moment you've been waiting for. Now, it's time to start trading on a live account with real money in the hopes of earning profits.

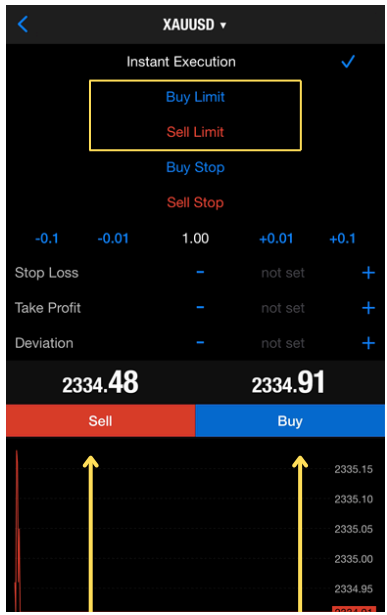
Once you've chosen a broker and are equipped with a trading plan and a well-defined strategy to identify trade positions, the next step is mastering the art of placing orders based on your technical analysis and strategy. Executing trades is when a buy or sell order is fulfilled, whether that's via a market or a limit order. Understanding the types of orders available and when to use them is fundamental to executing trades effectively. So, let's explore various order types and their applications (examples are shown on the MetaTrader 4 mobile app as it's a user-friendly choice for beginners).

Market Orders vs. Limit Orders

Market Orders: A market order is an instruction to buy or sell an asset at the current market price (CMP). This order guarantees execution but does not guarantee the exact price. Market orders are suitable when immediacy is prioritized over price precision, common in fast-moving markets. In short, this means when you hit buy/sell, you're in the trade position.



Limit Orders: A limit order allows you to specify and set the exact price at which you want to buy or sell an asset. This order type provides price control but does not guarantee execution if the market does not reach the specified price. Limit orders are beneficial for setting entry and exit points in more stable market conditions. In short, limit orders allow you to map out your trade idea on your chart and target your ideal entry point. Only once your entry point is triggered will you then be in the trade position.



Understanding the nuances between market and limit orders is crucial for tailoring your approach based on market conditions and your specific trading strategy.

Types of Orders

Referring back to risk management, these orders are crucial to determining your exit position, whether a win or a loss, before entering the trade. This removes the emotional aspect and allows you to stick to your strategy. I know we've covered these extensively, but I can't emphasize enough how important it is for you to implement these correctly to succeed in your trading journey!

Stop-Loss Orders: A stop-loss order is designed to limit potential losses by automatically closing a position when the asset's price reaches a specified level. This order type is essential for risk management, preventing significant capital loss when a trade doesn't go as planned or in adverse market conditions.

Take-Profit Orders: A take-profit order allows you to lock in profits by automatically closing a position when the asset's price reaches a predefined level. By setting realistic profit targets, take-profit orders help you capitalize on favorable market movements and the temptation to fall victim to greed.

Trailing Stop Orders: A trailing stop order is dynamic and adjusts with the market's movements. If the price moves in the desired direction, the trailing stop follows, maintaining a set distance. If the price reverses, the stop remains in place, securing profits or limiting losses. Trailing stops are particularly useful in trending markets.

You can find many tutorials on how to execute trades on your chosen platform (such as MetaTrader or BingX). It's good practice to first map out your trade idea on a charting platform such as TradingView, and then use the numbers from the charts to execute your trade idea on the chosen platform (see example below). At first, it may seem confusing, but soon it will become second nature.



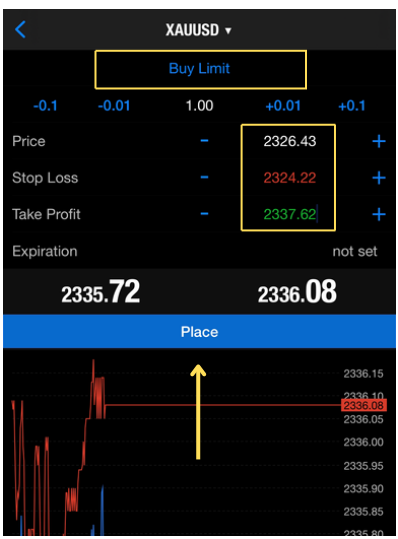
Here's one example to get you started. Let's refer back to the trade idea established by using the Liquidity Sweep/Grab in Chapter 11. To capitalize on the analysis to make a profit, we would need to execute the trade.

There would have been 2 potential ways to navigate this trade setup:

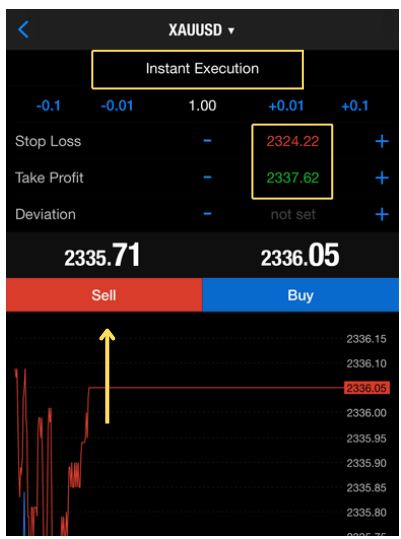
1. Place a pre-determined buy-limit order (limit order) after the formation of the order block and wait for the re-test (set entry price, stop-loss, and take-profit)

2. Execute at market price (market order) manually at the exact time we wish to enter while monitoring the position (only set stop-loss and take-profit)

Option 1



Option 2



By learning to place orders, you gain greater control over your trades and optimize your risk-reward ratio. These tools empower you to execute trades in a disciplined manner, aligning with your predetermined trading plan and ensuring a methodical and emotionless approach to trading.

Simply put, trading is as easy as analyzing the chart, identifying opportunities based on technical analysis and your strategy, executing trades via market or limit orders, and triggering either your stop-loss or take-profit order on a long or short position. It's not as complicated as it seems at first glance.

Dollar Cost Averaging (DCA)

Just before we wrap up Chapter 12, there's one more trading and investing concept to learn about. Dollar Cost Averaging or DCA is a process of scaling into a trade position over time to essentially average the best possible buy price for the trade setup. It can also be a process of investing in an asset long-term to average the best possible buy price for that asset. The DCA strategy is implemented through either a time-based method or a levels-based method.

Time-Based Dollar Cost Averaging

In time-based Dollar Cost Averaging, investors follow a consistent schedule for investing a fixed amount of money at regular time intervals, irrespective of the asset's price. This can be a small amount, such as $50 or $100, or a larger amount, depending on the investment goals. This method relies on the passage of time, and investments are made based on a predetermined schedule, such as daily, weekly, monthly, or quarterly. Time-based DCA is designed to minimize the impact of market timing, allowing investors to benefit from the natural fluctuations of the market over a set period to ultimately enter at an optimal price. This is a long-term investment strategy rather than trading.

Level Based Dollar Cost Averaging

Contrastingly, level-based Dollar Cost Averaging involves scaling into trade positions based on the asset's price levels. Instead of following a fixed schedule, traders monitor the market and make purchases when the asset's price reaches certain predefined levels. For example, if the price drops below a specified threshold, the trader may decide to buy more units. This approach is more reactive to market conditions and involves adjusting investment levels based on the perceived value or attractiveness of the asset at a given time. Additionally, it allows traders to manage risk as they can scale into positions at different price points, providing a better average entry.

Every method outlined in this chapter can be used effectively to execute trades. Over time, you will learn how to use each one to proactively benefit your trading.

Chapter 12 Action Points

Understanding Order Types: Differentiate between market orders and limit orders to understand their respective applications in different market conditions. Then, further comprehend the significance of stop-loss, take-profit, and trailing stop orders in managing risk and maximizing profits.

Practice and Familiarization: Utilize charting platforms such as TradingView to map out trade ideas before executing them on your trading platform. Practice placing trades on your chosen platform to become comfortable with the process and ensure speed and accuracy in execution.

Study Dollar Cost Averaging (DCA): Familiarize yourself with the concept of DCA and its application in scaling into trade positions over time. Decide if either time-based or level-based DCA aligns better with your trading goals. Please note that while level-based DCA can be used to scale into positions and manage risk in day trading, time-based DCA is typically favored by long-term investors as a lower-risk, lower-maintenance strategy.

Chapter 13
Managing Your Account and Portfolio

As you progress towards the later stages of the beginning of your journey, effectively managing your portfolio will become a key aspect of your long-term success in trading. This involves closely monitoring your positions, staying informed about market developments, and employing strategic tools to enhance your trading. In this section, we explore essential practices for managing your trading portfolio.

Monitoring Your Positions

Whether you're a day trader or a long-term investor, understanding how to monitor your positions effectively is fundamental. As discussed in Chapter 2, each trading style requires its own time commitment to monitoring and trading, which is why it’s so important to choose a trading style that best suits your personality and lifestyle.

Real-time vs. Periodic Monitoring

Real-time Monitoring: For active traders, especially those engaged in day trading or short-term strategies such as scalping or intraday trading, real-time monitoring is essential. Utilize trading platforms that offer live price feeds and ensure that you can execute trades swiftly.

Periodic Monitoring: Long-term investors may opt for periodic monitoring, checking their portfolios at scheduled intervals such as once a week or bi-weekly. This approach is suitable when market fluctuations have a more gradual impact on your asset classes and overall strategy.

For example, the price fluctuation (volatility) of a ‘blue-chip’ stock such as Apple is going to be far less than that of a new crypto coin with a low market cap that has just been introduced to the market.

Considering this, the choice between real-time and periodic monitoring depends on your trading style, goals, and the time commitment you can dedicate to actively tracking the markets.

Using Alerts and Notifications

In the age of digital trading, taking advantage of alerts and notifications is a powerful way to stay informed about market movements and make trades without having to actively monitor. By using alerts properly, you can spend much less time monitoring charts and more time enjoying your life. Let me give you an example to help you better understand.

Let's say you're on vacation but still want to trade. You can be by the pool with a beverage of your choice while studying the price action of your chosen trading pair or asset class. If you don't immediately identify a trade setup, but see the potential for one to form, you can simply set alerts for your phone to ping when the price hits a certain point while you enjoy a nice dip in the pool. Once your phone pings, you simply reach for your phone, enter the trade, set the stop-loss and take-profit orders, and get back to enjoying vacation. You may even go one step further by placing a limit order (buy limit or sell limit) and you wouldn't have to reach for your phone at all.

Learning this, here are the different types of alerts you should be aware of.

Price Alerts: Set price alerts for specific trading pairs or assets to be notified when they reach certain price levels. This helps you react promptly to significant market movements without the need for constant checking.

News and Event Alerts: Subscribe to news alerts and economic event notifications relevant to your portfolio or current trade positions. This ensures that you are aware of external factors that may impact your positions such as red folder news on Forex Factory.

Performance Alerts: Monitor the performance of your portfolio with automated alerts for predefined metrics.

This could include changes in overall value, individual asset performance, or deviations from your trading plan. From these alerts, you can make strategic decisions to mitigate any negative performance.

It cannot be overstated that the strategic use of alerts and notifications empowers you to maintain an active awareness of your portfolio without being glued to screens, charts, and trading platforms at all times. As a result, we better look after our eyes and mental health. After all, we trade to get out of the corporate lifestyle, not make it worse!

Evaluating and Adjusting Your Performance

As with anything that we're striving to improve at, performance analysis is crucial. Be sure to regularly review your trading performance, comparing it against previous months, your initial goals, and benchmarks.

By doing so, you can recognize trends in your trading performance and assess whether your strategy is consistently profitable or if adjustments are needed.

Learning from Mistakes

By tracking and analyzing performance, as well as periodically reviewing your trading journal (which you must write in after every trade), you can learn from your mistakes. It's essential to write down everything when you're starting your trading, as we easily forget the details of certain events (trades). By reviewing the mistake on paper, it's easier to avoid making the same mistake again in real time.

Periodically, take time to analyze and learn from both successful and unsuccessful trades and understand the reasons behind your decisions. Use this knowledge to refine your approach moving forward. Then, be adaptable and willing to adjust your strategy based on your experiences. The ability to learn from mistakes is a hallmark of successful traders.

By actively improving your trading capabilities through effective monitoring, strategic use of alerts, and regular evaluations, you enhance your ability to make better trading decisions. This interactive process of learning, adapting, and optimizing positions you for long-term success on your trading journey.

Chapter 13 Action Points

Begin Performance Tracking: Create your spreadsheet. Then, use my system for tracking your trading performance daily by using the provided spreadsheet to monitor metrics such as return on investment (ROI%), profit/loss pips, and risk-reward gain or loss.

Utilize Alerts and Notifications: Practice setting up price alerts for specific trading pairs or assets on TradingView, turn on news alerts, and configure performance alerts to stay informed about market movements and portfolio changes. In the beginning, you'll want to be actively monitoring the charts and trading, so alerts and notifications won't be as useful. As time goes on, you'll learn how to use these to save screen time.

Chapter 14
Becoming a Life-Long Student

Trading is a lifestyle and a lifelong journey and isn't for the weak. There will be many bad days where you will feel like giving up before you reach the good days. This means you must dedicate yourself to a commitment of discipline and learning even when it gets tough, as this is one of the distinguishing traits of successful traders. Adopt a trader's lifestyle and become a life-long student of trading by following the steps outlined in this chapter.

News and Market Updates

Keeping on top of current events and market developments is fundamental to making informed trading decisions. Do this by regularly following reputable financial news outlets to stay informed about global economic events, corporate announcements, and geopolitical developments. Additionally, keep an eye on market analysis reports and updates from financial institutions, analysts, and industry experts. This information provides valuable insights into trends and potential market-moving events. As mentioned previously, use Forex Factory for forex-market information and news, and Crypto Craft for crypto-market information and news daily

Economic Indicators and Events

As mentioned earlier in this book, understanding the impact of economic indicators and events on financial markets is crucial for effective decision-making in trading. Start by using economic calendars such as Forex Factory to track upcoming releases of economic indicators, central bank decisions, and other events that may influence market movements. Also, familiarize yourself with the interpretation of key economic indicators, such as GDP growth, employment reports, and inflation figures. This knowledge aids in anticipating market reactions and news trading (if you wish to opt for that).

Social Media

While it's not essential, engaging with social media provides a platform for shared insights, ideas, and collective learning, especially for those who are embarking on a trading journey alone. Social media is a beast, and its effect on you depends on how you use it.

Used in moderation for educational purposes, social media can be used to follow reputable traders, financial analysts, and market commentators on platforms such as Instagram, YouTube, Twitter, and LinkedIn. These people often share real-time market insights and analysis, which can keep you ahead of others. However, not all news is created equally, and not every influential figure has your best interest at heart, so please do your due diligence and exercise caution when selecting who to listen to.

Trading Communities

In the world of trading and investing, the significance of belonging to a high-quality trading community cannot be overstated. A premier community acts as a hub where traders gather to exchange research, knowledge, and insights. A high-quality community not only grants access to diverse trading styles, strategies, and education but also provides crucial support during the challenges of trading.

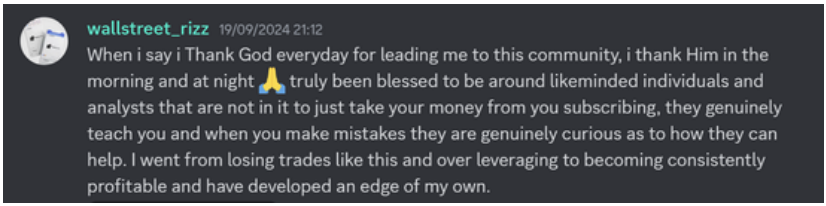
However, the quality of trading communities is varied, and not all offer the same standards and level of professionalism. In my trading community, PlayBit, we recognize the unique needs of both aspiring and experienced traders. Our community stands out, offering more than just a space for collaboration. With an exclusive team committed to guiding you, we consistently deliver profitable trading calls across multiple asset classes, host live trading and educational sessions daily, and provide cutting-edge research and analysis to optimize wins and mitigate losses. PlayBit is not just a community; it's a resource to elevate your trading journey. We navigate the markets together and we'll help you trade and invest the right way.

Don't take my word for it, check out the hundreds, if not thousands of success posts, testimonials, and 5-star reviews we've received from our current members within our Discord and on Whop marketplace.

LC Hide#1890 2 days ago

★★★★★

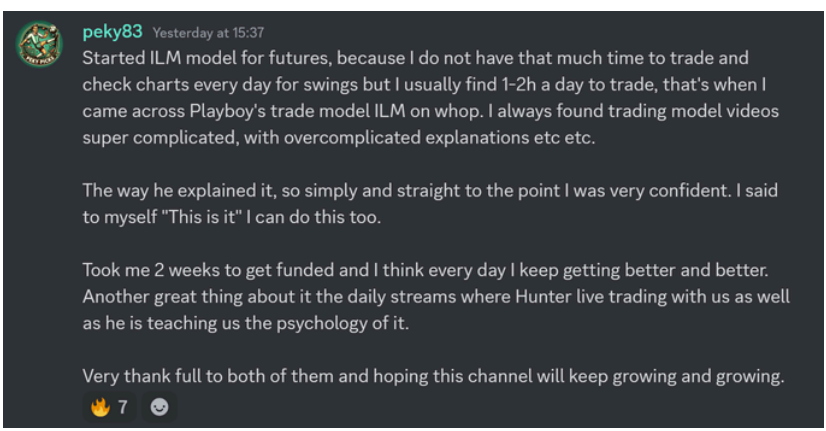
My name is Hideki I signed for Playbit Discord in June of 2023, after 2 years of trading! I just have gratitude for this Discord! A special thanks to TY and all of traders running the community! I learned all of my basis on Market Structure and PA and also learned some TA, although not a big fan of the last one hahahahaha Also, the mindset and qualities you have to develop by yourself and the consistent improvement you have to have was also taught in the streams! My life changed completely and one of the pieces was trading! I'm entering a new stage on my life! I'm a consistent and profitable trader, and developed my own trading system based in part, on the strategies used by the traders there, in special ILM and ORB! I have my strategies and my playbook for each trading environment! I just want to say a Huge Thank You to TY and Playbit members! Wish you a great trading journey and all the prosperity that you deserve!



YD youreboyd00dmang 5 days ago

★★★★★

I've been here for 3 years, learning and growing with the community. It's not the cheapest course around, but if you have tried any other payed "mentorship" you'll quickly learn you're getting your moneys worth. With full transparency on exactly what models the team is using as well as their win percentages, its a no brainer. They will take you from a complete beginner with zero trading experience all the way up to an expert at reading the charts and recognizing plays to be made.



dynamite_829 8 days ago

★★★★★

As a newcomer to trading with no prior knowledge of price action, I found ICT concepts overwhelming. However, after joining this group on a free trial, I was absolutely amazed by the wealth of free educational resources available. I learned just two concepts and quickly became profitable using the ILM model. I am incredibly grateful to this group for their support and guidance. I absolutely LOVE Playbit!

Continuing Education

Constant learning goes beyond staying informed about current market conditions. It involves actively seeking out educational opportunities to deepen your understanding of trading concepts and refine your skills. You can enroll in webinars and masterclasses offered by reputable educational platforms such as the PlayBit. Our resources cover a range of topics, from trading psychology, technical analysis, live trading sessions, cutting-edge market analysis, macroeconomic news updates, and risk management to advanced trading strategies.

Reflecting and Adapting

It's essential to periodically reflect on your trading experiences and assess your performance. Adapt your strategies based on lessons learned and evolving market conditions. You can do this by maintaining a trading journal to document your trades, decisions, emotions, and regularly review your journal to identify patterns and areas for improvement.

We touched on journaling in Chapter 8, and I cannot stress enough how important it is in the journey of trading. Additionally, be flexible in adapting your strategies to changing market dynamics. What works in one market condition may require adjustments in another. Don't get married to strategies, assets, trading pairs, markets, and follow what works instead.

Stay informed, hungry for success, and actively engage in opportunities for improvement. By doing so, you position yourself for success in the world of trading. This commitment to ongoing education not only powers your analytical skills but also creates resilience and adaptability, all of which are essential qualities for navigating trading.

Final Words

Pursuing the journey to become a trader is a challenging path to navigate, but it's one that many have successfully taken. Please understand that this journey will consist of hardship, iterating, and growing. Along this path, there will be many tough days, so it's essential to celebrate successes, learn from failures, and embrace challenges with a smile on your face. Always remember to stay connected with your 'why' to keep you on the right track.

Becoming a successful trader is not something that happens overnight. It takes months, if not years, to consistently turn a profit. However, once mastered, you become a money-printing machine. As you progress in your trading journey, remember that success is not solely measured by profits but by the lessons learned, the personal development achieved, and the resilience built through challenges. One of my common observations is that traders who focus on improving their skills always achieve success faster than those chasing money and wealth.

As you conclude phase one of your trading journey, it's crucial to look ahead with a forward-thinking mindset. By applying everything you've learned in this book, setting new goals, and exploring advanced trading techniques as you progress, you pave the way for success in your trading career. It's not easy, but it's incredibly rewarding!

By following this comprehensive blueprint, you've gained the knowledge and skills necessary to take your first steps in the world of trading successfully. Remember, it's not just about making profits; it's about building a sustainable and fulfilling trading career and claiming the dream lifestyle you've always wanted!

Your success is just one decision away. Let today be the day you change the trajectory of your life forever. Remember to show up to the charts daily and take it one step at a time.

You've got this!

Ewen

P.S. If you enjoyed this book and found it valuable, please message me on Instagram with your review. I'd love to hear your thoughts on it and learn if it has helped you. Additionally, if you have any feedback, please also send me a message on Instagram as I'm continuously seeking to make improvements and create the best experiences possible.

Thank you!

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Acknowledgments

Special thanks to all those who contributed to the creation of this book, including proofreaders and advisors. Your support and expertise have been invaluable in bringing this project to fruition.

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